Acesis

Team Omicron

Acesis Welfare And Reward Drivers ("AWARD") ETF

Pillar: Social
Sub-theme: Employee Welfare

Investor Persona

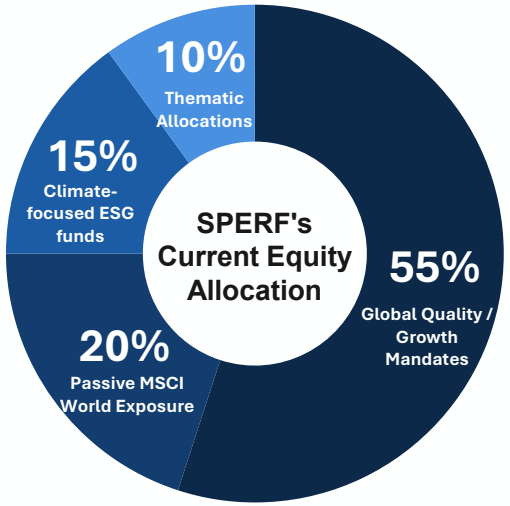
Our (fictional) client needs better diversification urgently

Acesis

Our investor's details: SPERF

sperf
SINGAPORE PUBLIC EMPLOYEES RETIREMENT FUND

Singapore Public Employees Retirement Fund



20Y - 30Y

Investment Horizon

CPI + 4%

Required Return

Problems with the current allocation

Concentrated in US Growth / Tech, exposed to high region and sector risk

ESG focus currently tilted heavily towards Environmental metrics, resulting in low Social scoring for the fund

What SPERF is looking for?

Long-term risk-adjusted return with good downside protection

Diversification across regions, sectors and high S-score equities

Sources:

Acesis

AWARD

Acesis **W**elfare **A**nd **R**eward **D**rivers

Globally Diversified

Social-focused
(Subtheme: Employee Welfare)

Strong Performance

Sources:

Current Global Macro

Global AI Labour Shock

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AI implementation is driving global layoffs

55,000

U.S. job layoffs linked to AI in 2025

12,000

Layoffs in TSA, India's largest private sector employer

~900

Job cuts for e/a Netherland banks after AI adoption (ASN, ING)

200,000

Potential bank job cuts over **3-5 years** due to AI

Labour disruption is becoming a material corporate risk

74%

report a decline in productivity

77%

report an increase in operational errors

Layoffs Survivor Syndrome

Remaining employees' performance may decline due to anxiety & erosion of institutional trust

- likely to cause share price to drop

Sources: Bloomberg Terminal

Investment Thesis 1

The Social premium is strongest in labour-intensive mid- to large-cap firms

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Human capital Alpha in labour-intensive firms

1. Labour-intensive firms with high satisfaction have larger positive earnings forecast errors
2. Analysts underestimate their future EPS and sales
3. The market gradually corrects this mispricing

S-Premium is concentrated in large & mid caps

Size Group	ESG Premium	Statistical Significance	Driver
Large Caps	**Positive**	**Significant**	**Institutional ownership, information efficiency, arbitrage feasible**
Mid Caps	**Positive**	**Significant**	**Institutional ownership, information efficiency, arbitrage feasible**
Small Caps	None	Not Significant	Higher noise, higher arbitrage costs
Micro-Caps	None	Completely invalid	Sentiment / flow trading, shell value contamination

Sources: Journal of Financial Economics, The Journal of Finance, Journal of Financial Markets

Investment Thesis 2

Generous employee welfare reduces stock price crash risk

Companies with high employee satisfaction beat the market

"100 Best Companies to Work for in America" List

~3.5%

Abnormal returns per year

Positive

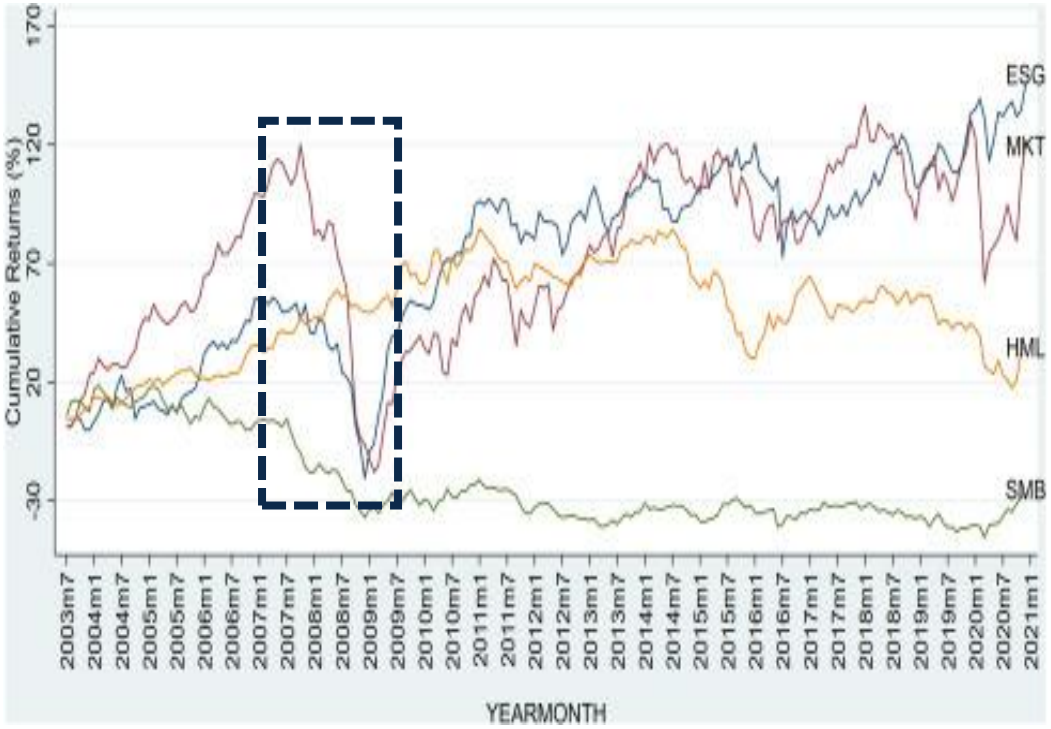
Earnings surprises

Stronger Stock Price

To earnings announcement

ESG's association with liquidity and pricing

In downturns, investors shift to **higher-quality names**, so high-ESG firms can get better liquidity support which helps stabilise prices.



Sources: Journal of Corporate Finance, Journal of International Financial Market, ResearchGate

Investment Thesis 3

A premium exists for improving employer ratings in market data

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Superior risk-adjusted returns

+0.84%
Alpha

- Owning a portfolio of stocks with **positive** changes in employee ratings
- Selling stocks with **negative** changes in employee ratings

Portfolio with excessive return

+0.74%
per month

Value-weighted portfolios consisting of firms with the greatest quarterly improvements in employer ratings **outperform** firms with decline in employer ratings

More positive earnings surprises

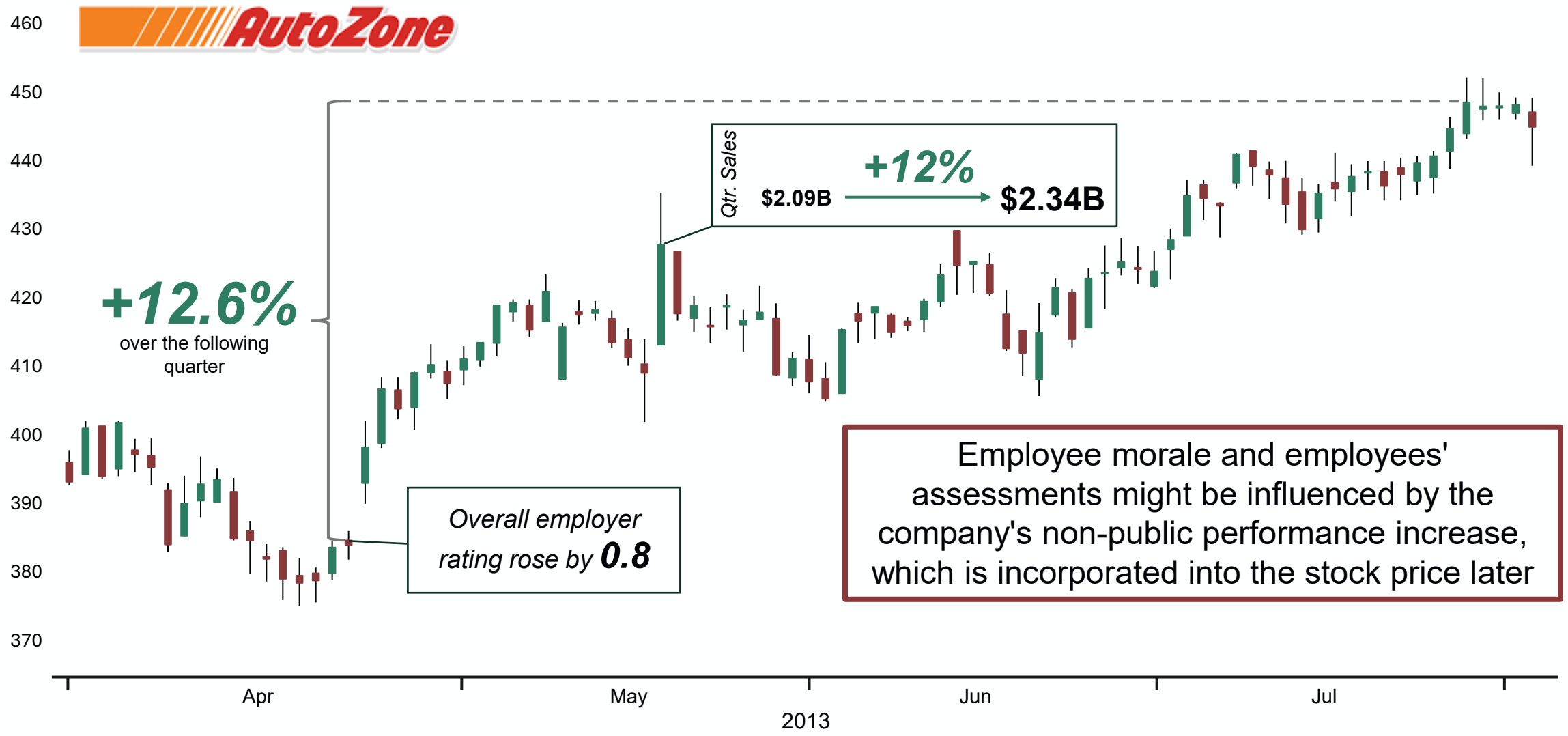
+1.2%
more than peers

Best companies (BCs) exhibit significantly more positive earnings surprises and stock price reactions to earnings announcements

Sources: Bloomberg Intelligence, Investing.com, Journal of Financial Economics

AutoZone Case Study

Improving employer ratings are associated with stronger performance



Employee morale and employees' assessments might be influenced by the company's non-public performance increase, which is incorporated into the stock price later

Sources: Bloomberg Intelligence, Investing.com, Journal of Financial Economics

Conclusion from Investment Thesis

These are the insights we learned and translated into our fund design

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Return Growth

- Social Premium in human capital
- Large- to mid-cap stocks with good Social score

Risk Protection

- Liquidity ESG stocks
- Employee satisfaction

Leverage

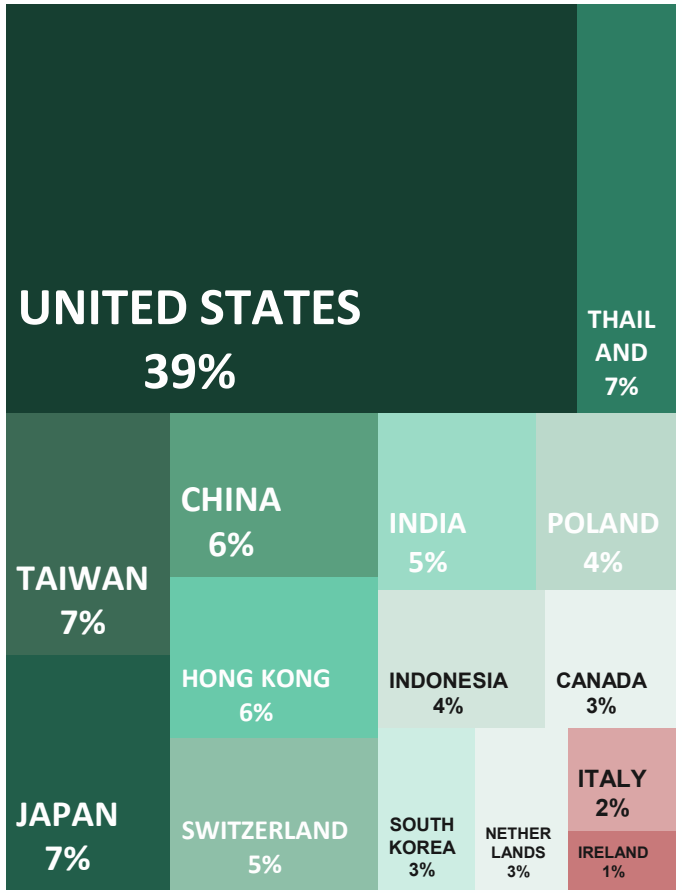
- Labour-intensive firms
- Employer reviews

Sources: Bloomberg Terminal, Journal of Financial Economics, The Journal of Finance, Journal of Financial Markets, ResearchGate, Investing.com

Acesis Welfare And Reward Drivers (AWARD)

AWARD is a global equity fund focusing on S-theme Employee Welfare

Geographical Allocation



Fund overview

AWARD

Acesis

Acesis Welfare And Reward Drivers

A globally diversified equity fund aims to generate long-term capital appreciation by investing in labour-intensive companies that give **superior employee welfare**, underpinned by financially material **human capital factors.**

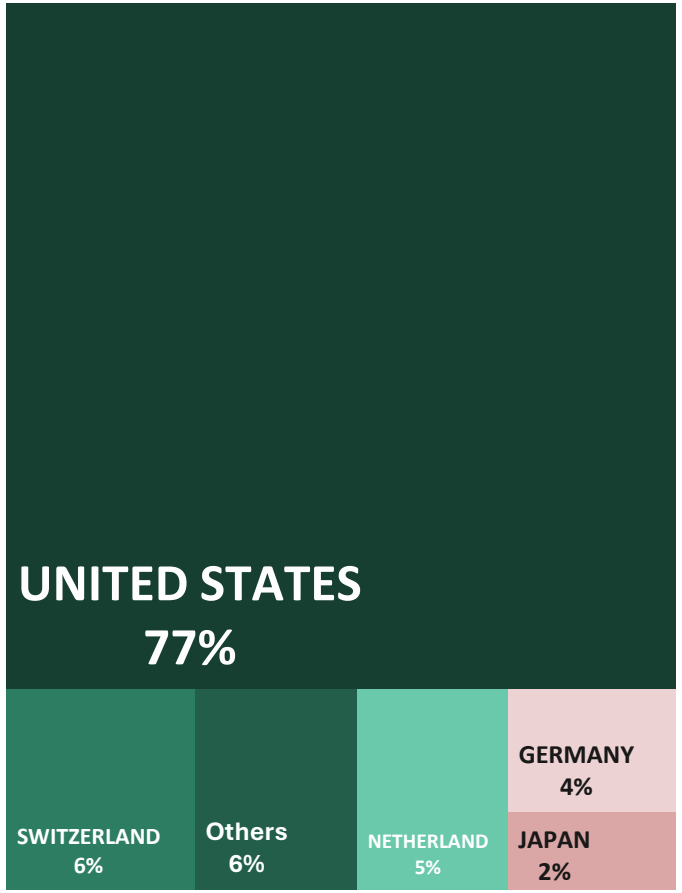
S-focus, precisely on employee welfare

Sources: Bloomberg Terminal, Our Assumptions

Benchmark

MSCI World Social Leaders Select Top 50 Index (MXWOSL50)

Geographical Allocation



Fund overview

MXWOSL50

MSCI

MSCI World Social Leaders Select Top 50 Index

Represent the performance of a set of 50 companies from the **MSCI World Index** with the highest free float-adjusted market capitalization that also have a **robust Social Pillar Score**

S-focus, but everything

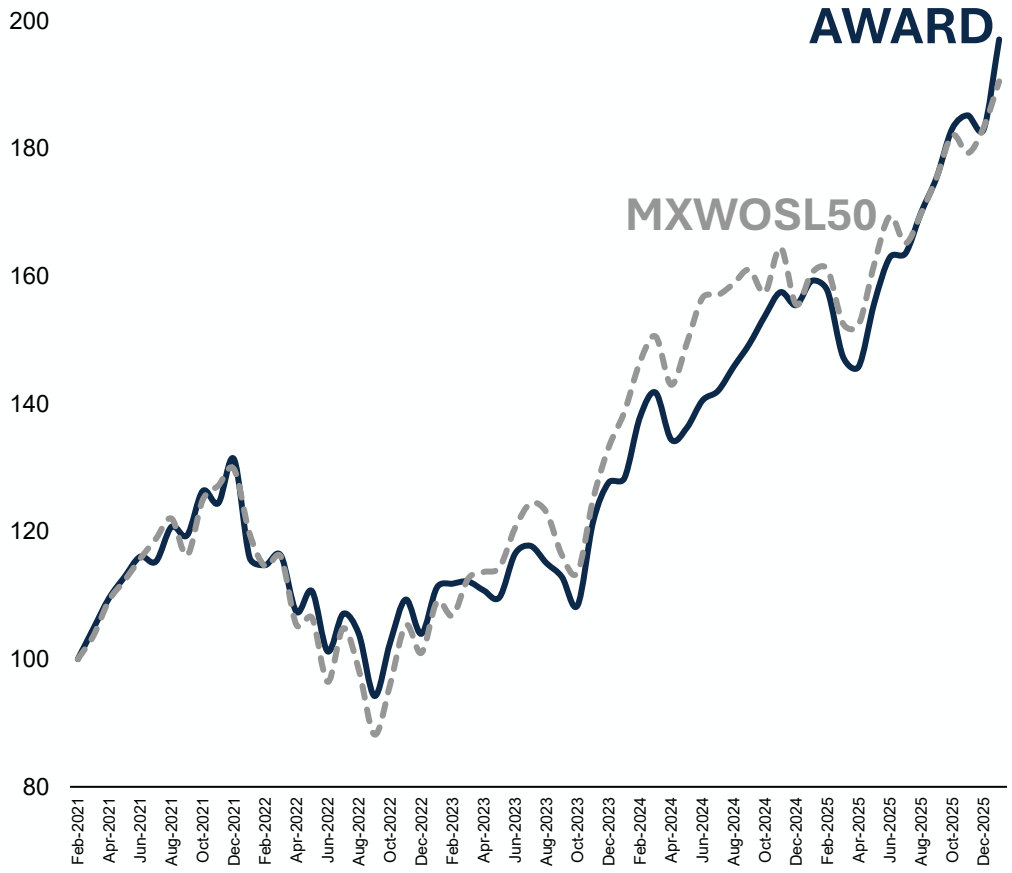
Sources: MSCI

Performance Comparison

AWARD outperformed the index on both return and risk metrics

	AWARD ETF	Metrics	MXWOSL50 Index
Return Metrics	97.09%	Total Return (5Y)	90.53%
	14.53%	CAGR	13.76%
Risk Metrics	16.16%	Std. Dev.	17.03%
	-28.26%	Max. Drawdown	-32.05%
	0.94	Sharpe Ratio	0.86

5Y Historical Performance Record: AWARD vs Benchmark

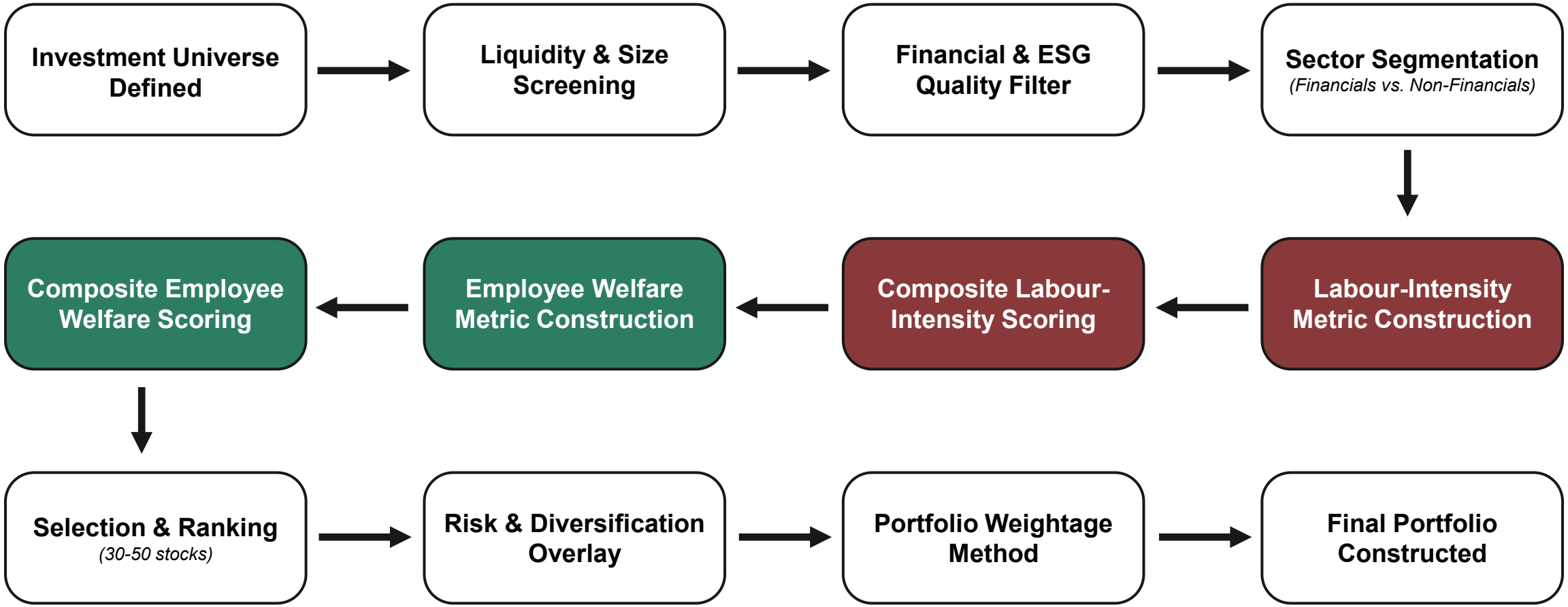


Sources: MSCI, Our Assumptions

Portfolio Construction Framework

Systematic integration of labour intensity and employee welfare

Acesis



Sources: Our Assumptions

Portfolio Construction Framework

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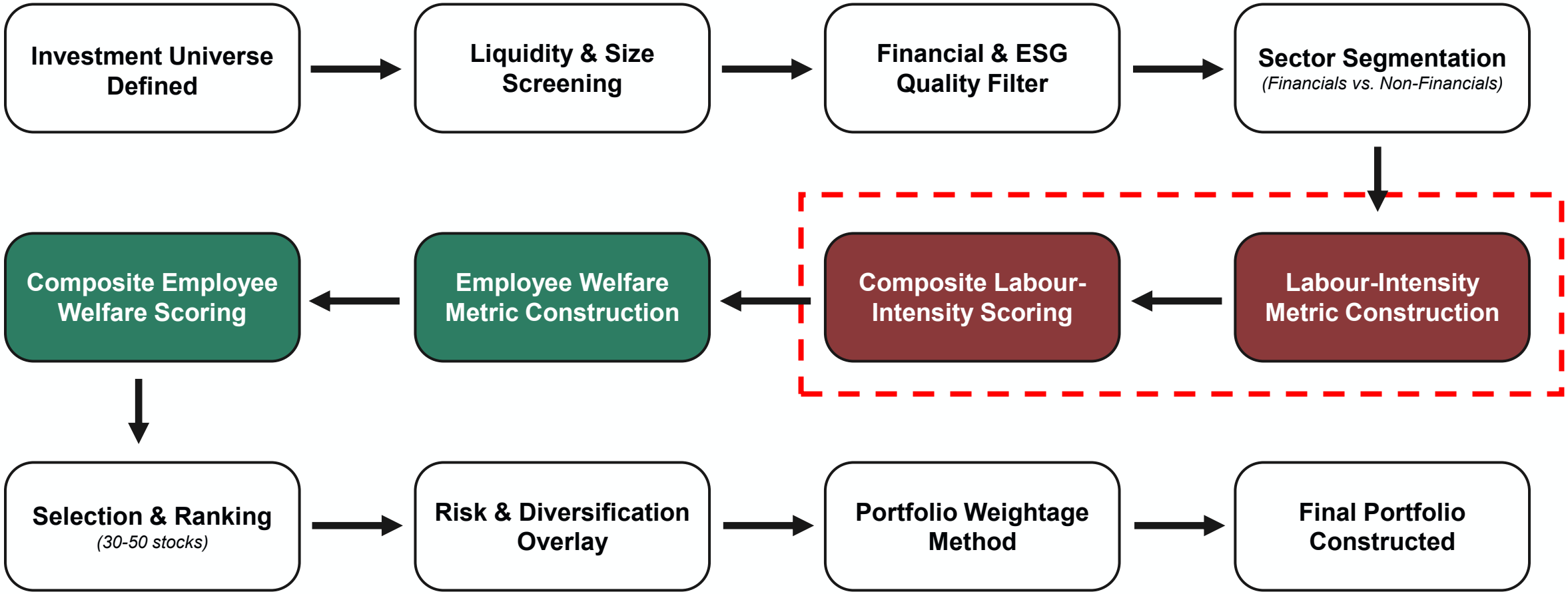

Sources: Our Assumptions

Filtering Fundamentals

Labour-Intensity Metrics (Non-Financials)

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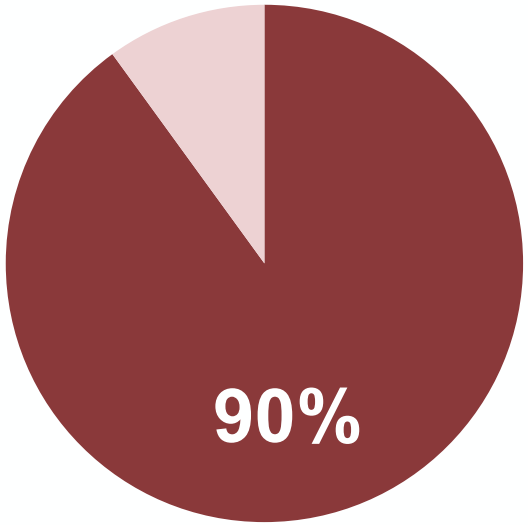
35% Compensation Intensity (SG&A / Revenue)

25% Equity Labour Commitment (SBC / Revenue)

20% Labour Legacy Burden (Pension Liabilities / Revenue)

10% Operating Labour Intensity (Opex / Revenue)

10% Labour Density (Revenue / Number of Employees)



Top 45 Non-Financials
Labour-Intensive Stocks

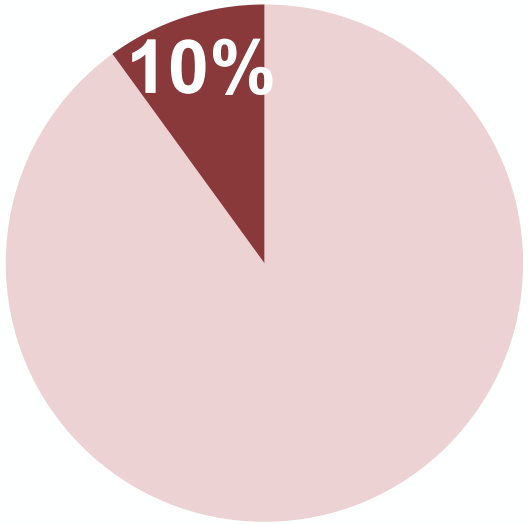
Sources: Our Assumptions

Filtering Fundamentals

Labour-Intensity Metrics (Financials)

Acesis

35%	Compensation Intensity ((SG&A + SBC) / Revenue)
25%	HC Investment (Training Hours / No. of Employees)
20%	Pension Burden (Pension Liabilities / Revenue)
10%	Operating Labour Intensity (Opex / Revenue)
10%	Headcount Leverage (Revenue / No. of Employees)



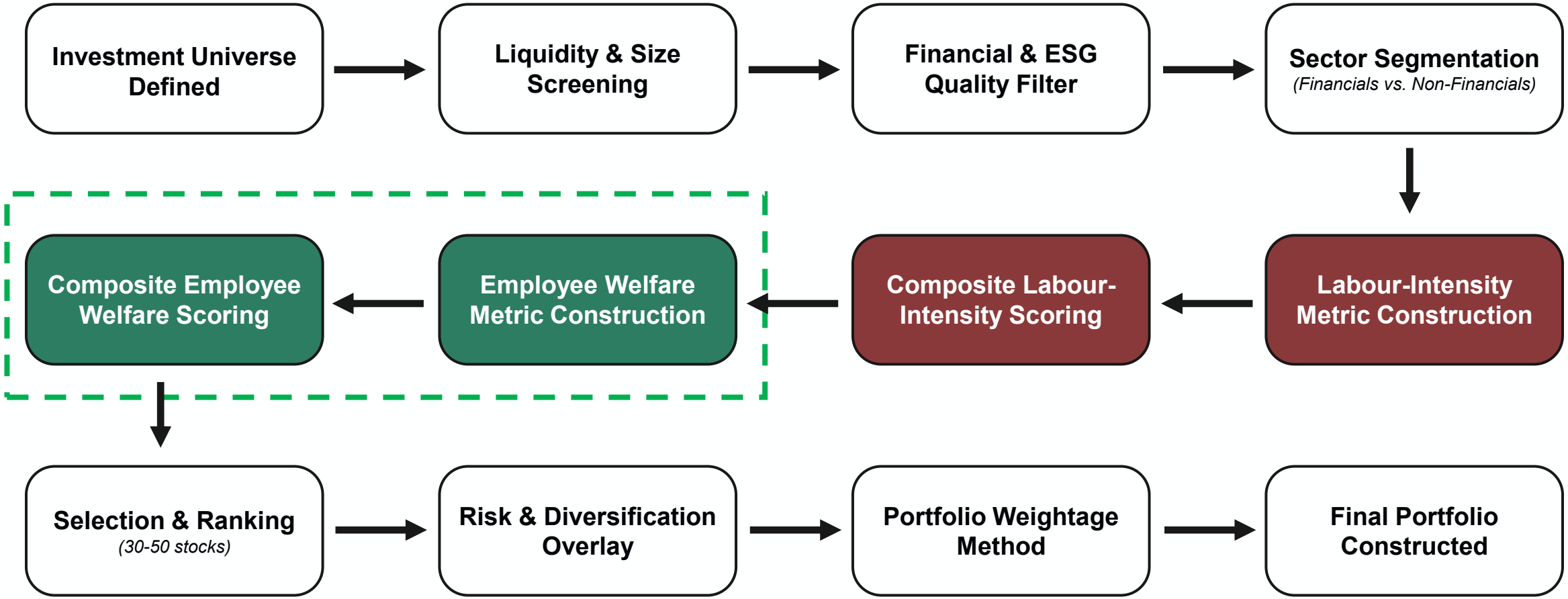
Top 5 Financials
Labour-Intensive Stocks

Sources: Our Assumptions

Portfolio Construction Framework

Systematic integration of labour intensity and employee welfare

Acesis



Sources: Our Assumptions

Weighting Mechanics

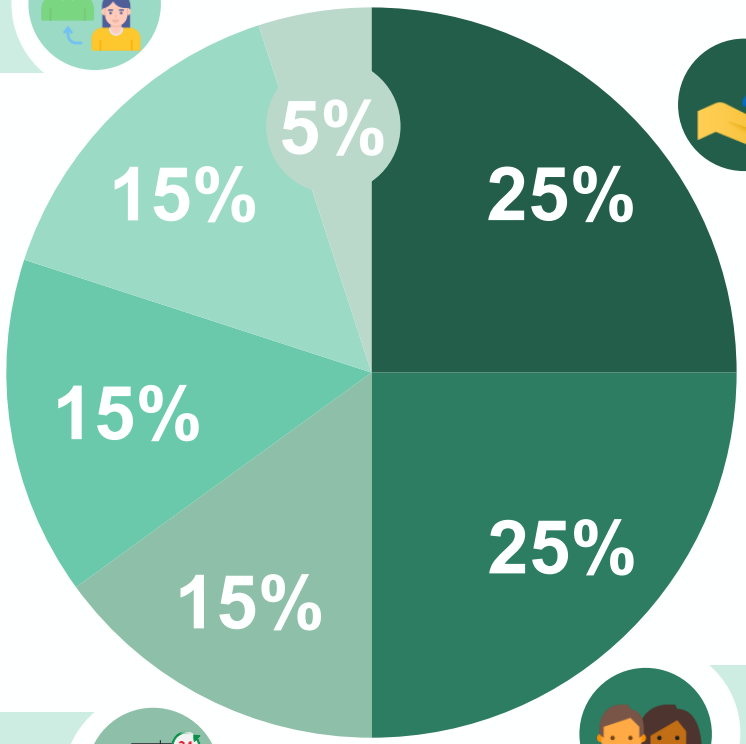
Employee Welfare Metrics (Across ALL Sectors)

Acesis

BESG Social Score

Employee Turnover Ratio
= Employee Turnover / # of Employees

Employee Compensation Ratio
= Staff Cost LTM / Revenue LTM



Flexible Working Policy
(Yes/No)

Average Training Hours
= Training Hours LTM / No. of Employees

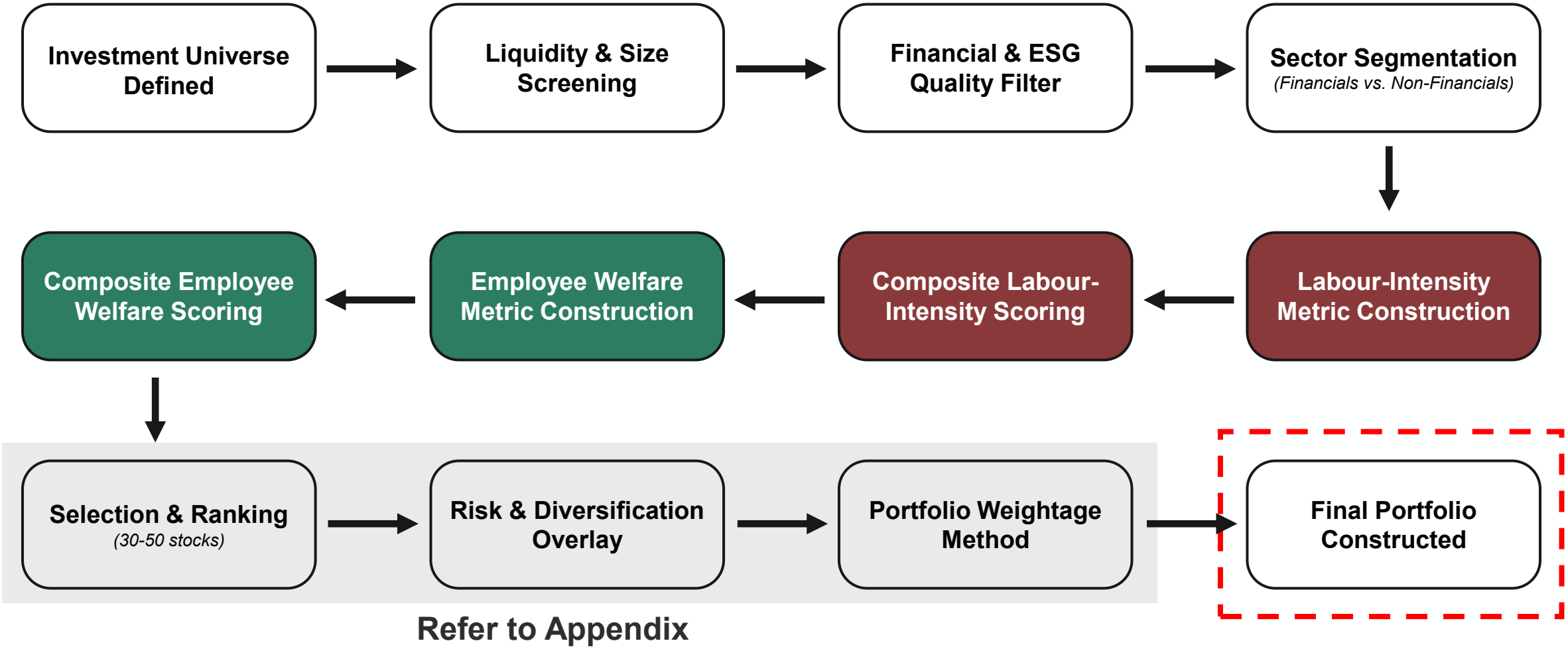
Workforce Diversity Ratio
= Female Employees / Total Employees

Sources: Our Assumptions

Portfolio Construction Framework

Systematic integration of labour intensity and employee welfare

Acesis



Sources: Our Assumptions

Active Portfolio Management Framework

Continuous monitoring maintains exposure to employee-welfare leaders

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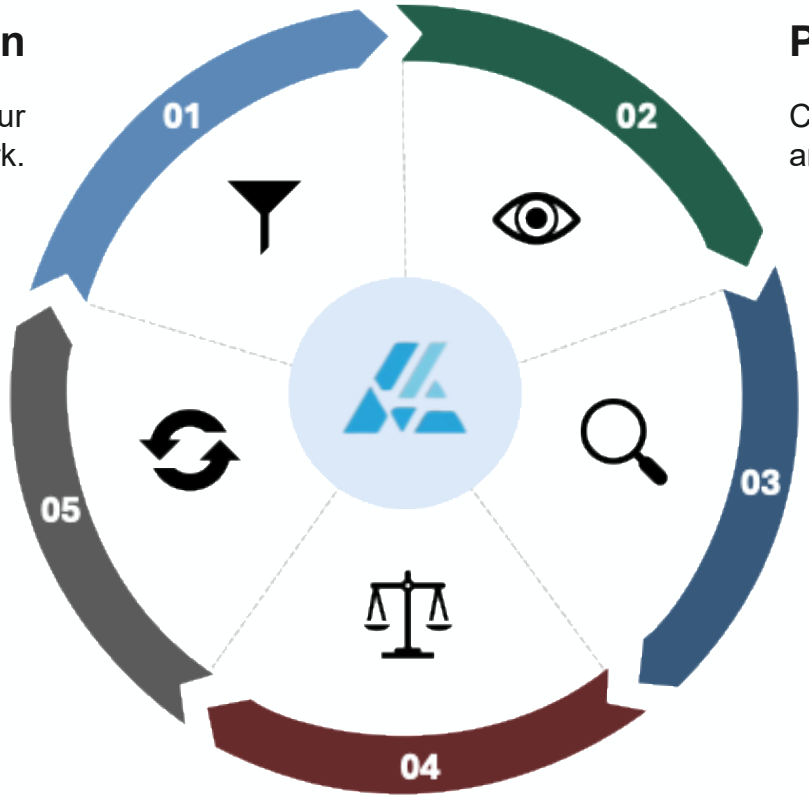
Portfolio Construction

Construct the portfolio using our systematic framework.

Portfolio Monitoring

Continuously track portfolio holdings and key developments.



Portfolio Refresh

Update portfolio holdings to maintain exposure to top performers.

Investment Review

Evaluate whether portfolio positions still satisfy our thesis.

Portfolio Adjustment

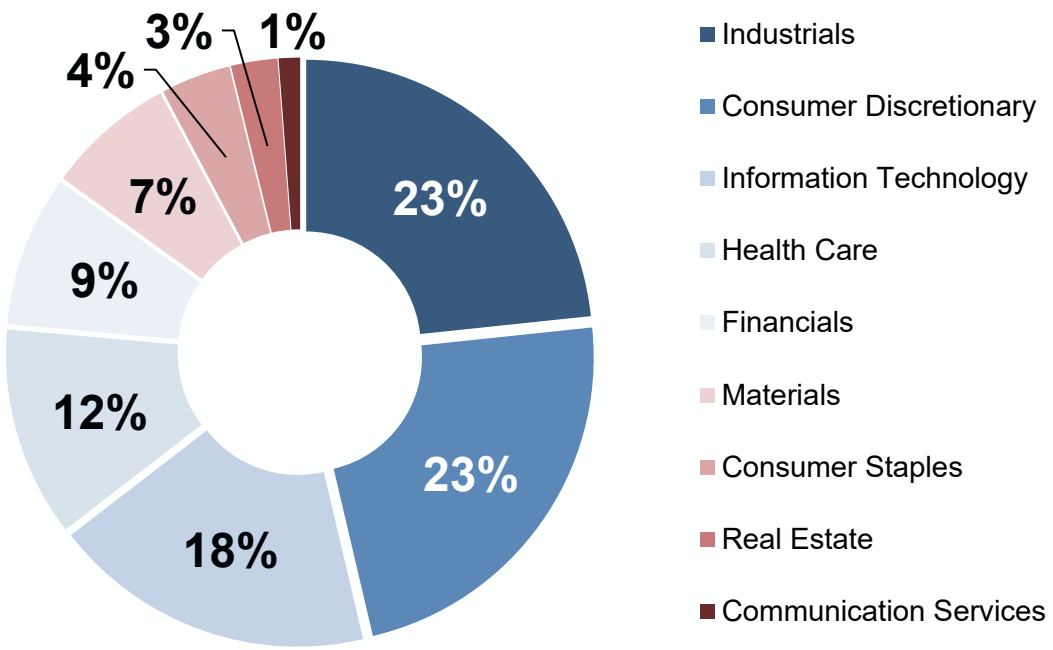
Adjust portfolio weights to maintain diversification and risk control.

Sources: Our Assumptions

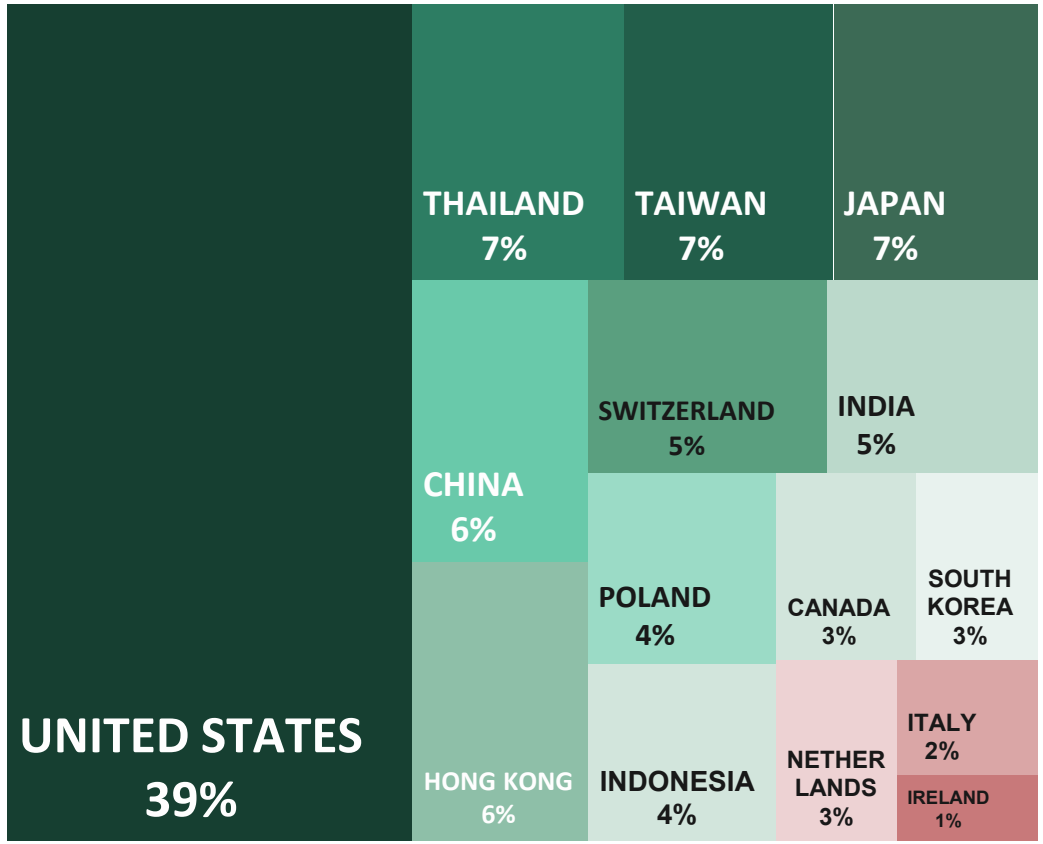
Acesis Welfare And Reward Drivers ("AWARD") ETF

AWARD captures the employee-welfare premium through systematic equity selection

Sector Allocation as of 15th February 2026



Geographic Allocation as of 15th Feb 2026



Sources: Our Assumptions

Top 10 Holdings of AWARD ETF

Top employee-welfare equities are selected through our scoring framework

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Top 10 Holdings as of 15th Feb 2026

Rank	Holdings	Weights
1	STANTEC INC	3.04%
2	WYNDHAM HOTELS & RESORTS INC	2.96%
3	SONOVA HOLDING AG-REG	2.90%
4	UNILEVER INDONESIA TBK PT	2.90%
5	ECOLAB INC	2.81%
6	COWAY CO LTD	2.65%
7	INTERFACE INC	2.64%
8	CENTRAL PATTANA PUB CO LTD	2.63%
9	HOME PRODUCT CENTER PCL	2.62%
10	BELDEN INC	2.62%

Top Holding: Stantec Inc (TSX: STN)

Labour-Intensity Filtering:

Ranked 13th

Employee Welfare Weighting:

Ranked 1st

Sources: Our Assumptions

Our Representative Stock: Stantec Inc.

Stantec Inc. fulfilled our 'employee welfare' criteria the most

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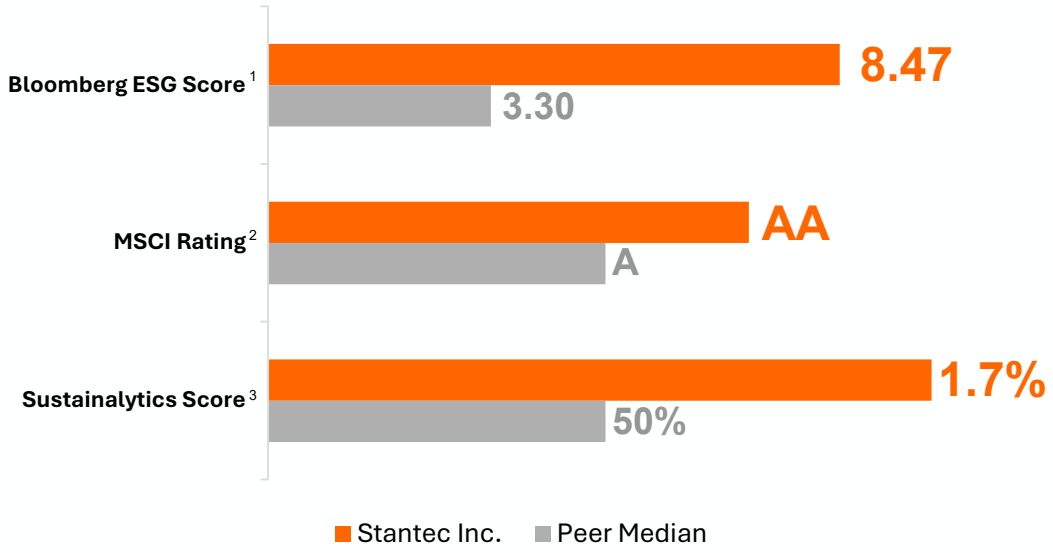
Stantec Inc. is the leading ESG player among its peers

Stantec Inc (TSX: STN)

Stantec Inc. is a large Canadian engineering and design consulting firm.

ESG Rating for Stantec Inc. & its Peers



[1] Bloomberg ESG Score is rated from 0 – 10, where 10 is the best
[2] MSCI Rating is rated from AAA – CCC, where AAA is the best
[3] Sustainalytics Score is rated from 0% - 100%, where 0% is the best

Stantec Inc. is the best aligned with our criteria

Generous Employee Welfare

Labour-intensive Firm

Strong Financial Performance

Large Market Capitalisation

High Liquidity

Sources: Bloomberg Terminal, Capital IQ Pro, Yahoo Finance, S&P Global, Our Assumptions

Financial Material Social Factor

Generous employee welfare creates Social premium in the long run

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DCF Value Drivers	Social Premium[1]	Assumption
Revenue Growth	+0.5% p.a.	• Reduce voluntary attrition • Preserve client relationships • Expand delivery capacity
EBIT Margin	+0.5% p.a.	• Better retention • Improve productivity • Lowering hiring & training costs
WACC	-0.2% p.a.	• Employee-support culture reduces project disruptions & earnings volatility • Lowering perceived business risk

[1]Values are based on the team's estimation

Sources: Bloomberg Terminal, Capital IQ Pro, Yahoo Finance, S&P Global, Our Assumptions

Stantec Inc is a Buy After ESG Adjustment

The premium is visually shown in the chart below

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▼2.7% (-$2.70)

▲12.2% (+$12.07)

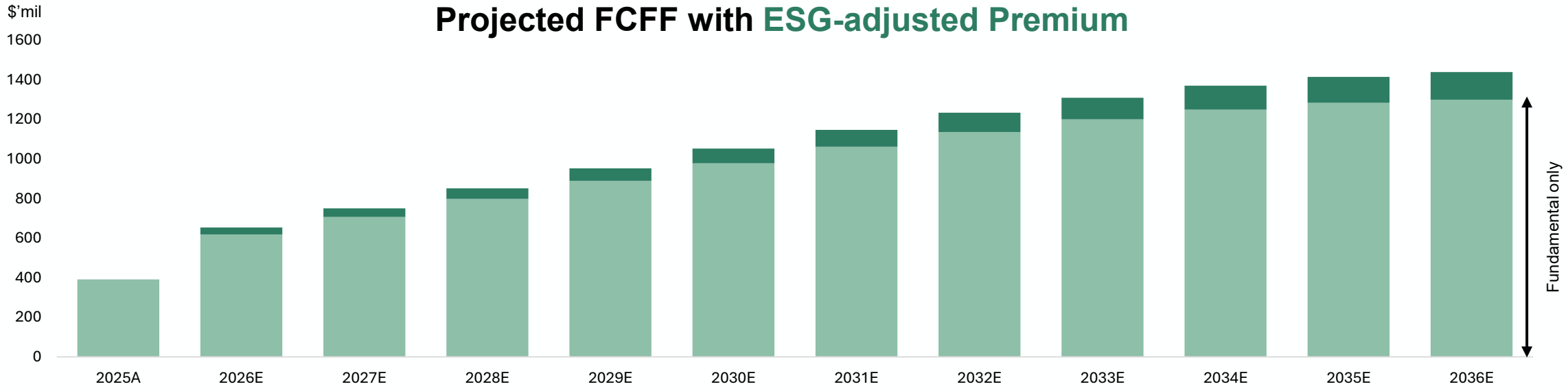
$96.17 —— ESG-adjusted ——→ **$110.94**

Equity value per share **BEFORE** ESG adjustment

$98.87
(Price as of 11th Feb 2026)

Equity value per share **AFTER** ESG adjustment

Projected FCFF with ESG-adjusted Premium

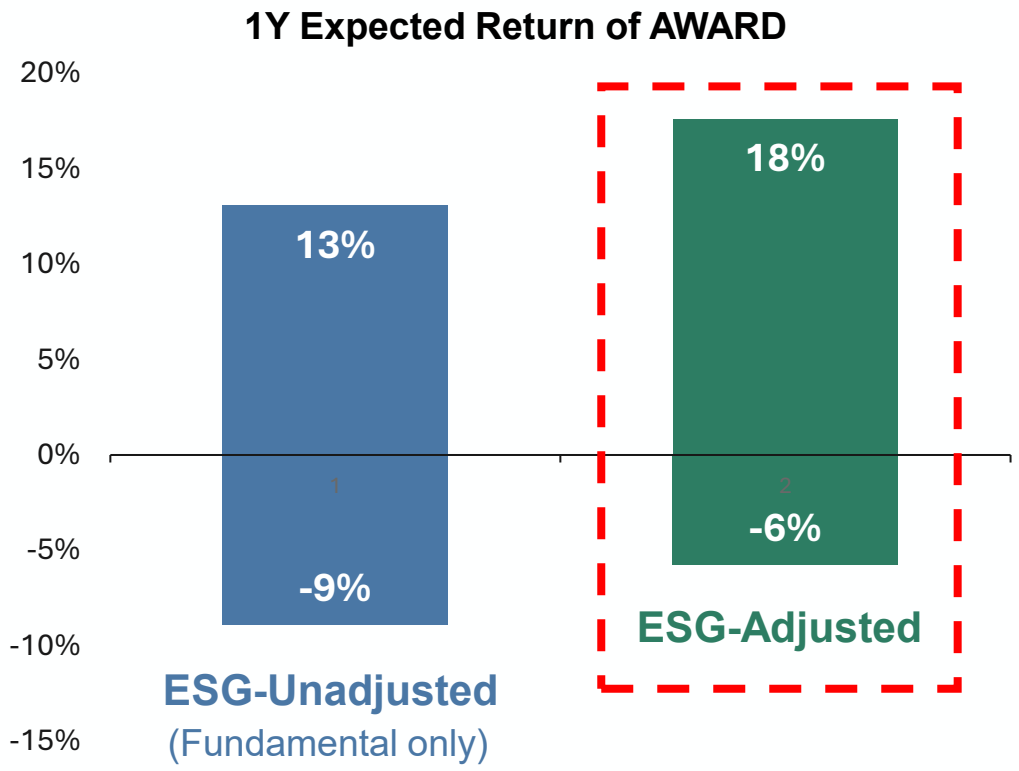


Sources: Bloomberg Terminal, Capital IQ Pro, Yahoo Finance, S&P Global, Our Assumptions

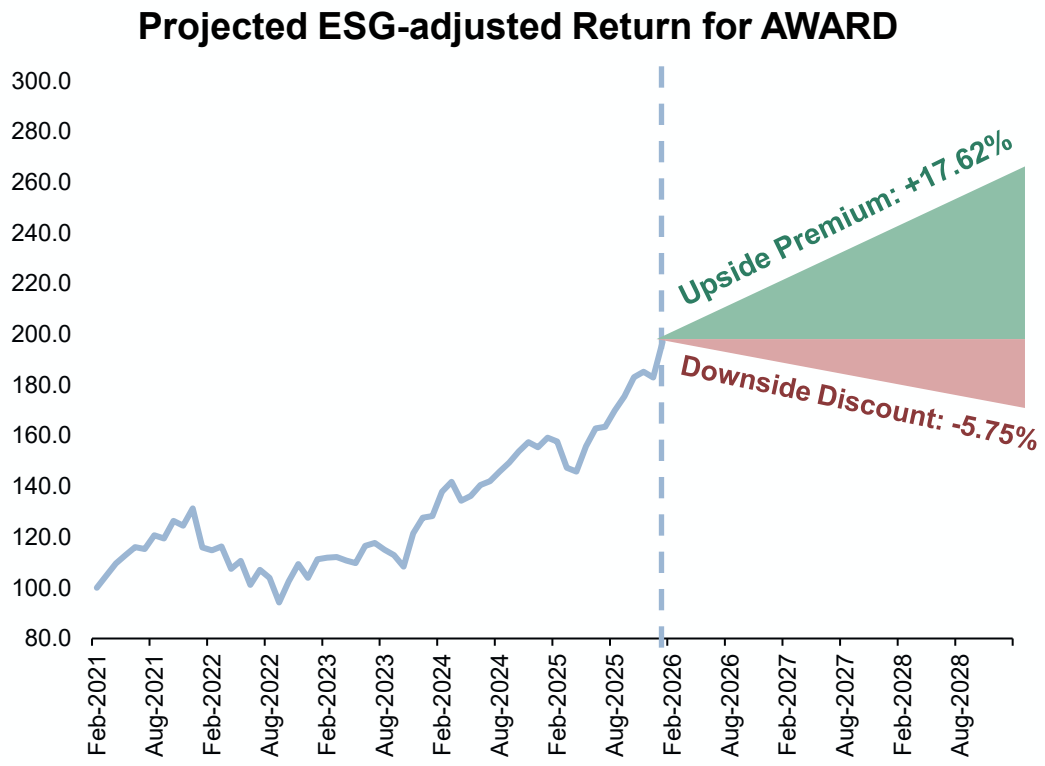
Scenario Analysis: AWARD Projected Return

The risk-to-reward ratio is more appealing after adjusting to the ESG valuation

We ran base, bull, and bear-case analysis for both situation...



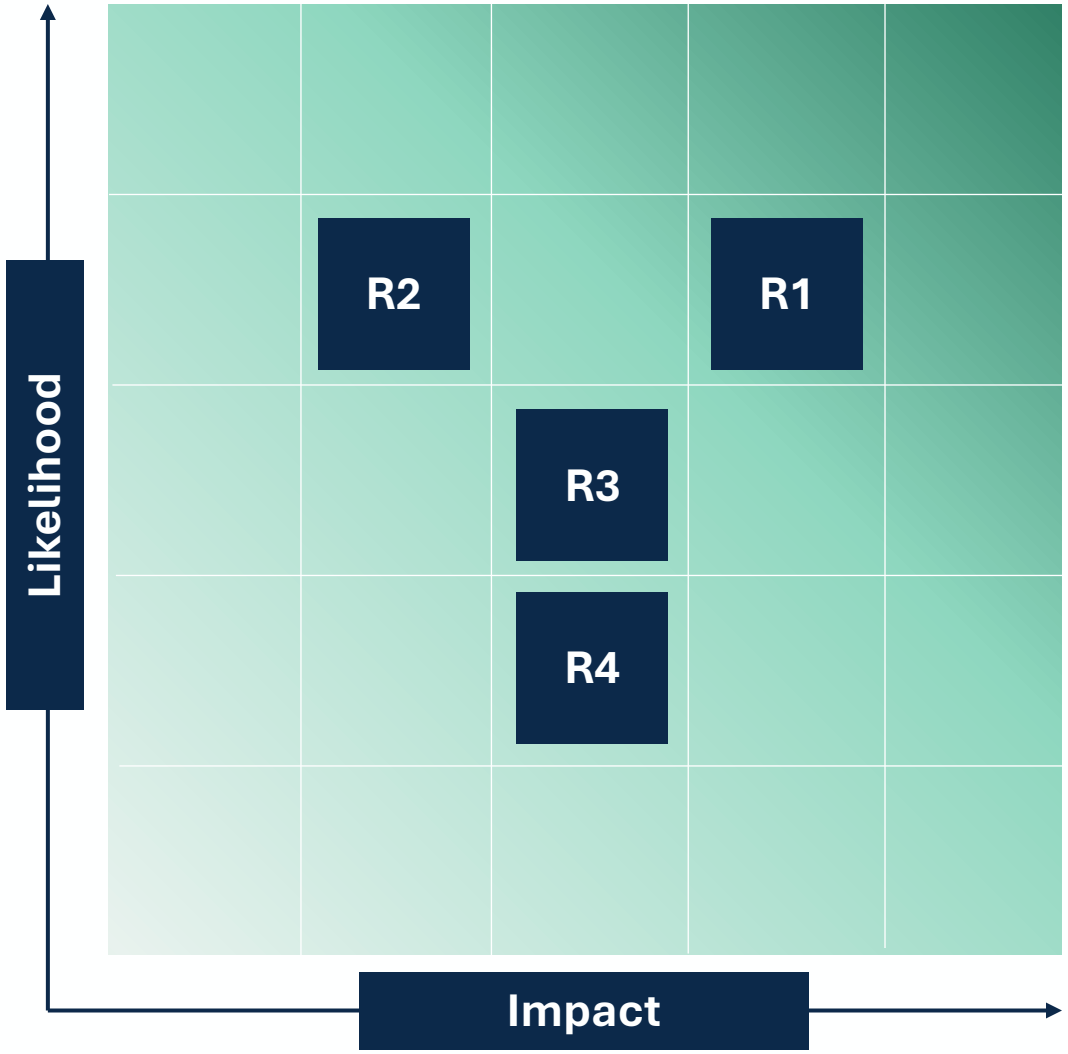
.... With ESG-adjusted, the premium is more attractive



Sources: Bloomberg Terminal, Yahoo Finance, Our Assumptions

Risk Analysis

AI substitution is a rising risk, but employee welfare remains financially material

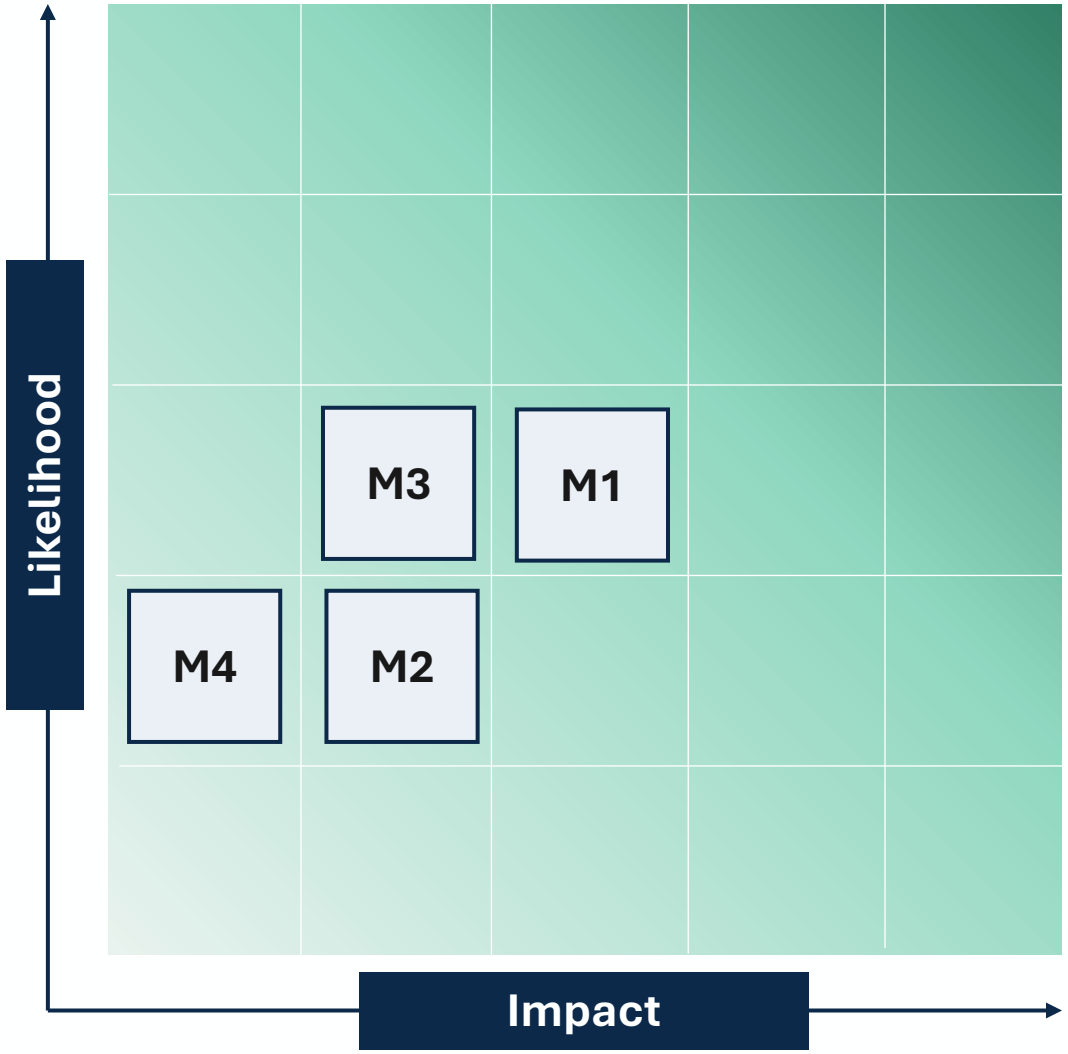


Risk 1	AI-driven restructuring may temporarily weaken welfare signals.
Risk 2	Signal noise & data bias (Subjectivity in employee ratings)
Risk 3	Overconcentration in labour-intensive sector
Risk 4	Crowding / premium compression (too many investors chase S)

Sources: Bloomberg Terminal, Yahoo Finance, Our Assumptions

Mitigating the Risk

Mitigations can improve risk-adjusted performance

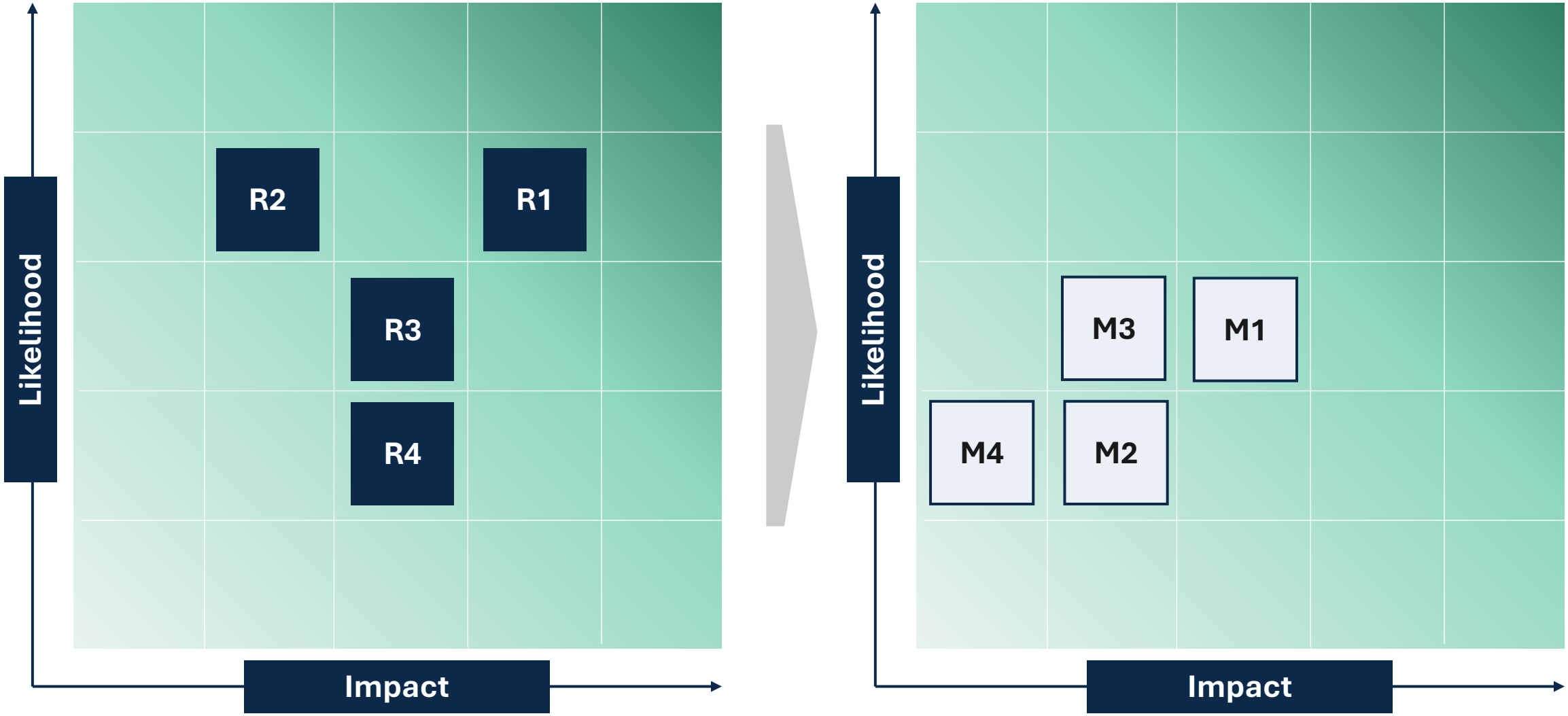


Mitigation 1	Prioritise firms that combines AI efficiency with training but not replacing
Mitigation 2	Multiple welfare proxies reduce single-source bias.
Mitigation 3	Capping and diversification in labour-intensive industries
Mitigation 4	Signal focus on “improvers”, not just “leaders”

Sources: Bloomberg Terminal, Yahoo Finance, Our Assumptions

Before and After the Mitigation

Mitigations reduce portfolio impact and improve risk-adjusted performance



Sources: Bloomberg Terminal, Yahoo Finance, Our Assumptions

Our most direct competitor

HAPI is Social-pillar-focused and has strong performance, but is overly US-centric

Among ESG peers, HAPI is our most direct comparator, but AWARD is more globally diversified

	Harbor *HAPI (Harbor Human Capital Factor US Large Cap ETF)*	Acesis *AWARD (Acesis Welfare And Reward Drivers)*
3Y CAGR	**22.42%**[1]	**20.79%**
ESG-Pillar Focus	**Social** **(Human Capital)**	**Social** **(Employee Welfare)**
Top Region Allocation (US)	**97.3%**	**39.3%**

[1] HAPI was only listed on 12 Oct 2022, therefore it has only a three-year track record

Sources: Yahoo Finance, ETF Database, Our Assumptions

Why choose Omicron?

3 key reasons why AWARD can win

Acesis

Why now

Social premium is still underpriced

Human capital is economically critical

Resilience is what investors valued

Why us

OMICRON

Pure focus on financially material S-factor: **employee welfare**

Proprietary human-capital scoring framework

Better **global diversification** & **risk-adjusted returns**

What if we're wrong

Multiple signals reduce data bias risk

Diversification reduces concentration risk

Continuous tracking can spot anomalies early

Thank You

"For it is in giving that we receive."
— St. Francis of Assisi

Main Deliverables Map

Acesis

1. **Situation**
    1. Investor Personas
    2. AWARD ETF
2. **Investment Theses**
    1. Current Global Macro
    2. Investment Thesis 1
    3. Investment Thesis 2
    4. Investment Thesis 3
    5. AutoZone Case Study
    6. Conclusion from Investment Thesis
3. **ETF Construction Methodology**
    1. AWARD
    2. MXWOSL50
    3. Performance Comparison
    4. Portfolio Construction Framework
4. **Filtering Process**
    1. Filtering Fundamentals
5. **Weighting Process**
    1. Weighting Mechanics
5. **Fund**
    1. Active Portfolio Management Framework
    2. Fund Overview (Weightage)
    3. Fund Overview (Top 10 Holdings)
6. **Hero Stock (Stantec Inc.)**
    1. Introduction
    2. Financial Material Social Factor
    3. ESG-Adjusted
7. **Fund (continued)**
    1. Scenario Analysis
    2. Risk Analysis
    3. Mitigating the Risk
    4. Before & After Mitigation
    5. Direct Competitor
8. **Conclusion**
    1. Why Choose Omicron?

Appendix Map

Acesis

1. **Current Macro**
    1. Further expansion on the global AI labour shock
    2. Layoffs have a negative impact on stock prices
2. **Investment Thesis 1**
    1. Additional notes about social premium
3. **Investment Thesis 2**
    1. Investor preference for firms with stronger welfare
    2. Good employee welfare mitigates price crash risk
4. **Investment Thesis 3**
    1. Factors of employees review and effect on returns
5. **Fund overview**
    1. AWARD vs MXWOSL50
    2. AWARD vs VT
    3. AWARD vs S&P 500
    4. Social factor examples
6. **Filtering process**
    1. Metrics we used in the filtering process
7. **Portfolio construction**
    1. Fund Factsheet
    2. Economic Rationale Behind Metric Selection
    3. Detailed Active Portfolio Management Process
8. **Stantec Inc.**
    1. Screening Score
    2. Business model
    3. ESG Breakdown
    4. Key assumption for DCF
    5. DCF
9. **Scenario analysis**
    1. Methodology for Valuation
    2. Scenario Definition
    3. ESG-adjusted Valuation
10. **Risk analysis**
    1. Risk 1 Mitigation
    2. Risk 2 Mitigation
    3. Risk 3 Mitigation
    4. Risk 4 Mitigation
11. **Comparison with peers**
    1. AWARD
    2. HAPI
    3. MXWOSL50

Macroeconomic

Further Expansion on Global AI Labour Shock

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AI implementation is resulting in massive global layoff

2025 AI-related layoffs are…

12x

Higher compared to 2023.

51K

Related to tech sector.

>150K

Estimated **true** AI-related layoffs

Labour disruption is becoming a material corporate risk

Layoffs damage…

Morale

Corporate Trust

Internal Coordination

AI-driven layoffs can trigger **social instability** when firms unfairly lay off employees in pursuit of short-term efficiency

Return to Appendix Map

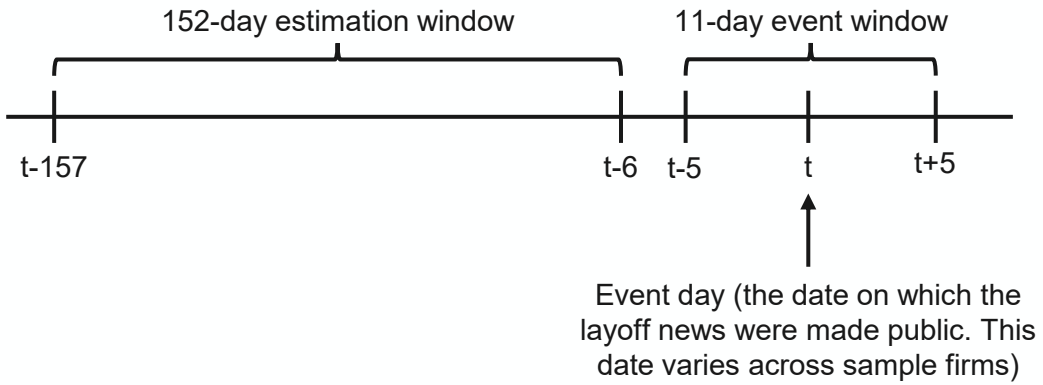
Sources: Bloomberg Termainal

Layoff is Detrimental to Stock Price in the Long Run

Unemployment is negatively correlated with stock price

Layoff announcement has negative impact on stock price

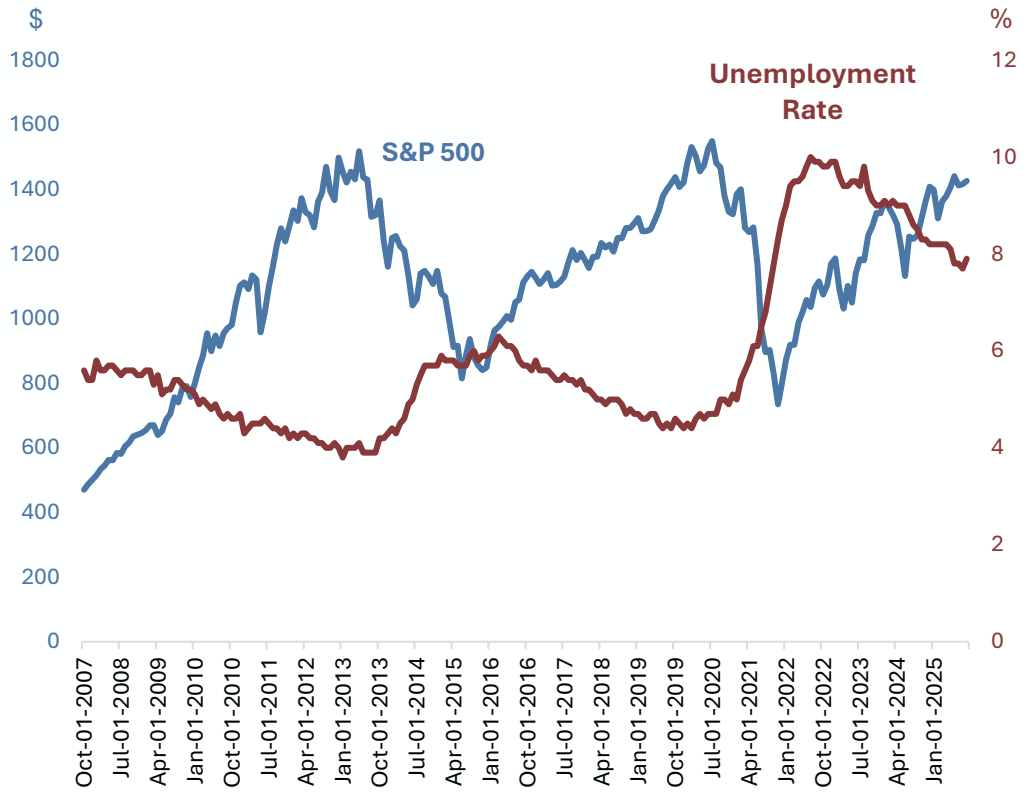
Event studies show that layoff announcements negatively affect stock prices in the short to medium term



Market would read it as ...

- a signal of **financial stress / weak outlook** (bad news), and/or
- evidence that management expects **lower demand / limited growth opportunities**

Unemployment is negatively correlated with the S&P 500



Over the long run, higher unemployment is associated with lower stock prices

Return to Appendix Map

Sources: TradingView, ScienceDirect

Investment Thesis 1

Additional notes about social premium

The Value of Social Capital in a Trust Collapse

CSR builds social capital and trust, which becomes especially valuable **during periods of system-wide confidence collapse.**

Investors

- During crisis, investors doubt financial statements
- CSR acts as a credibility signal
- High-CSR firms receive valuation premium

Stakeholders

- Employees, customers, suppliers reciprocate
- Stronger cooperation during stress
- Improves operational resilience

CSR tends to deliver the greatest value during trust shocks rather than in normal periods

Employee Satisfaction is Economically Valuable

Employees drive innovation, quality, customer relationships.

Satisfaction improves:

Motivation

Retention

Recruitment

Long-term growth

Return to Appendix Map

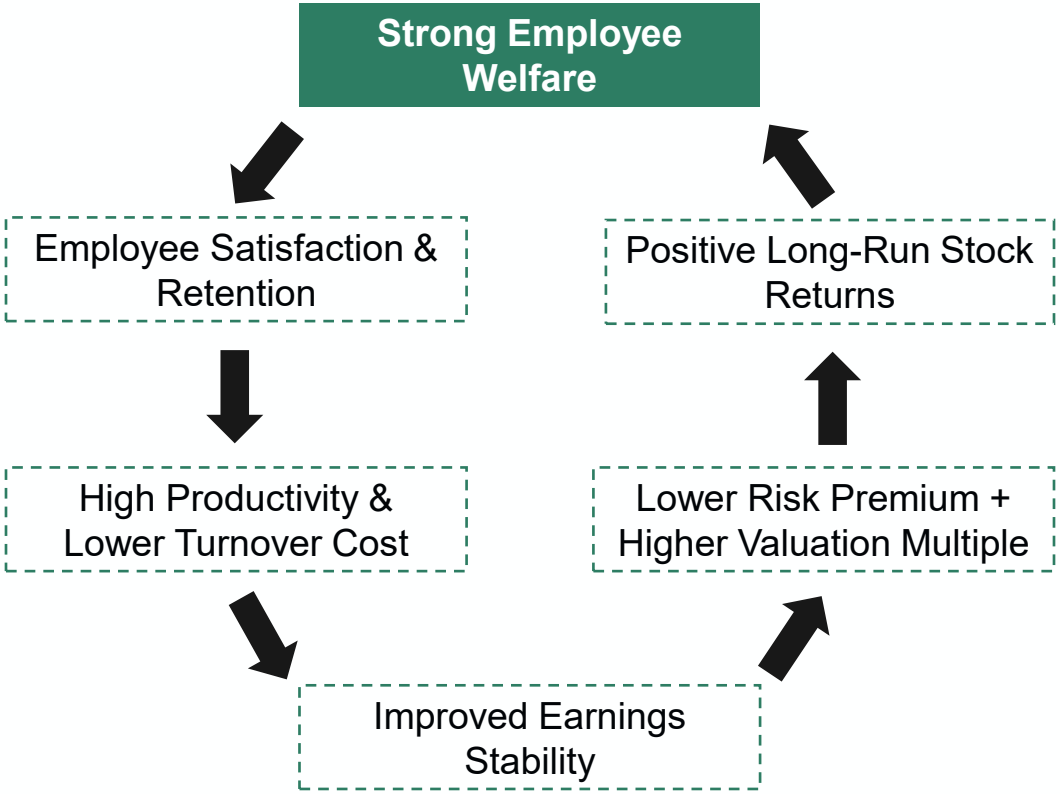
Sources: Journal of Financial Economics, The Journal of Finance, Journal of Financial Markets

Investment Thesis 2

Investor preference for firms with stronger employee welfare

Acesis

Investors are more inclined towards good welfare firms



Employee welfare is a financially material “S” factor

Strong commitment to employee well-being

Strengthens the firm's reputation in the perspective of stakeholders & improves employees' productivity

Mitigates stock price crash risk

Return to Appendix Map

Sources: Journal of Corporate Finance, Journal of International Financial Market, Research Gate

Investment Thesis 2

Good employee welfare mitigates stock price crash risk

Acesis

Statistical proof of lower stock price crash risk

- Higher employee welfare score is linked to lower stock price crash risk.
- In baseline regressions, a one-point increase in welfare score is associated with lower crash risk

Welfare Score Coefficient
SCORE ->
-0.173 in NCSKEW

SCORE ->
-0.138 in DUVOL

Employee Disclosure Indicator (DEMP) Coefficient
-0.246 in NCSKEW

Mitigation of costly strikes

- Strikes are costly and tend to have a negative effect on stock prices.
- Improvement of employee welfare significantly enhances job satisfaction
- Job satisfaction reduces the likelihood of strikes, which translates to:

Stock Price Stability

Lower Likelihood of Stock Price Crash

Return to Appendix Map

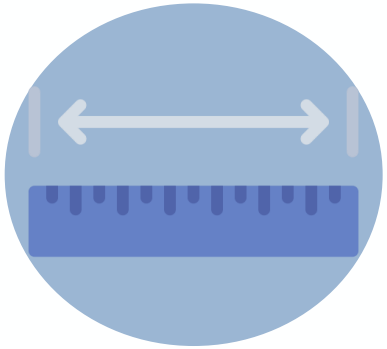
Sources: Journal of Corporate Finance, Journal of International Financial Market, Research Gate

Investment Thesis 3

Factors affecting employee reviews and their effect on returns

Acesis

Length of review



- Longer reviews may be more revealing than shorter reviews
- Changes in ratings of lengthier reviews are more predictive of returns

Timeline of review

- Early reviews tend to be rated as more helpful due to less influence from prevailing consensus / less herding
- The relationship between ratings changes and future returns stronger in first 3Y of firm being added to Glassdoor

Informative for firms

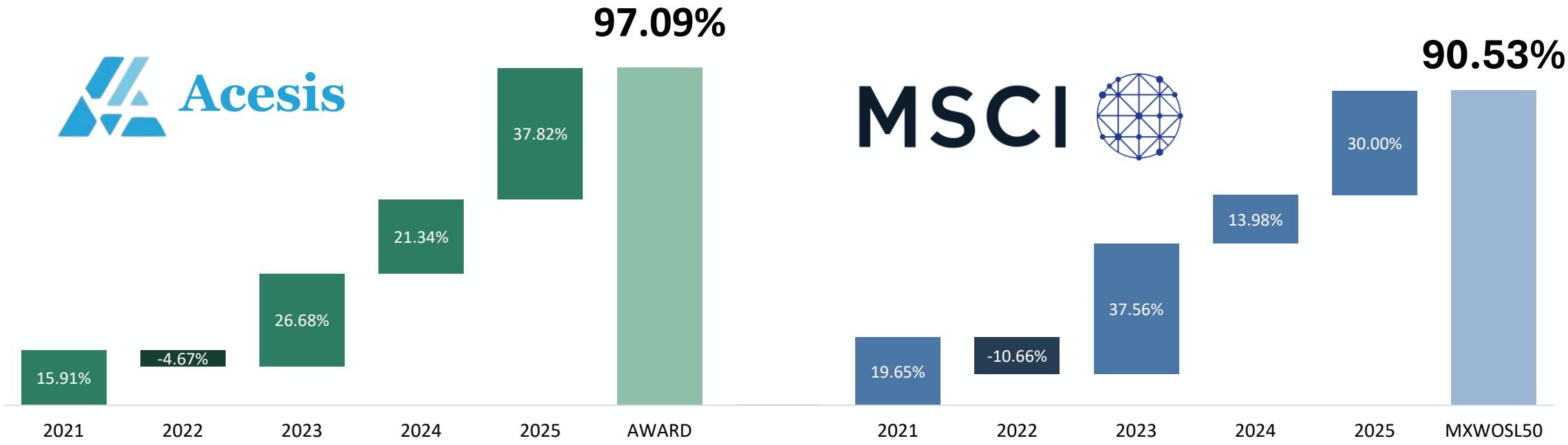
- Ratings changes better predict returns among firms with high idiosyncratic volatility and low institutional ownership

Return to Appendix Map

Sources: Bloomberg Intelligence, Investing.com, Journal of Financial Economics

AWARD vs MXWOSL50

AWARD outperformed the benchmark on both return and risk



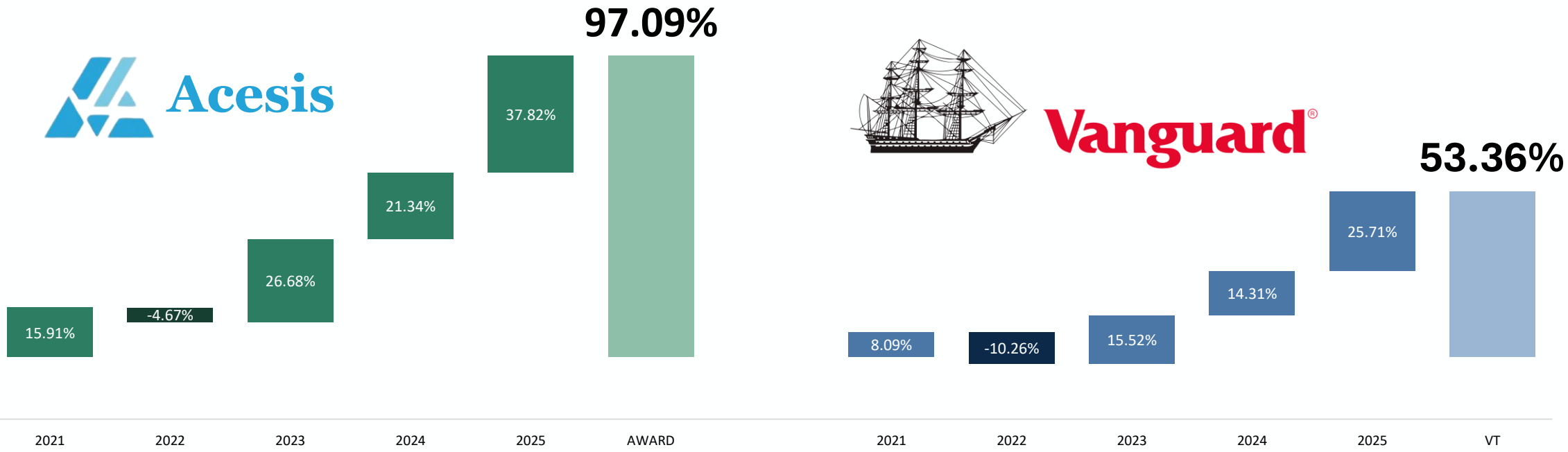
Description	Ticker	2021	2022	2023	2024	2025	Total	σ
AWARD is globally diversified and themed on employee welfare, while delivering strong performance with lower volatility	AWARD	15.91%	-4.67%	26.68%	21.34%	37.82%	97.09%	11.42%
MXWOSL50 has nearly the same selection criteria as AWARD, but it focuses on the full Social pillar	MXWOSL50	15.65%	-10.66%	37.56%	13.98%	30.00%	90.53%	13.76%

Return to Appendix Map

Sources: Bloomberg Terminal

AWARD vs VT

AWARD delivered higher returns with comparable volatility



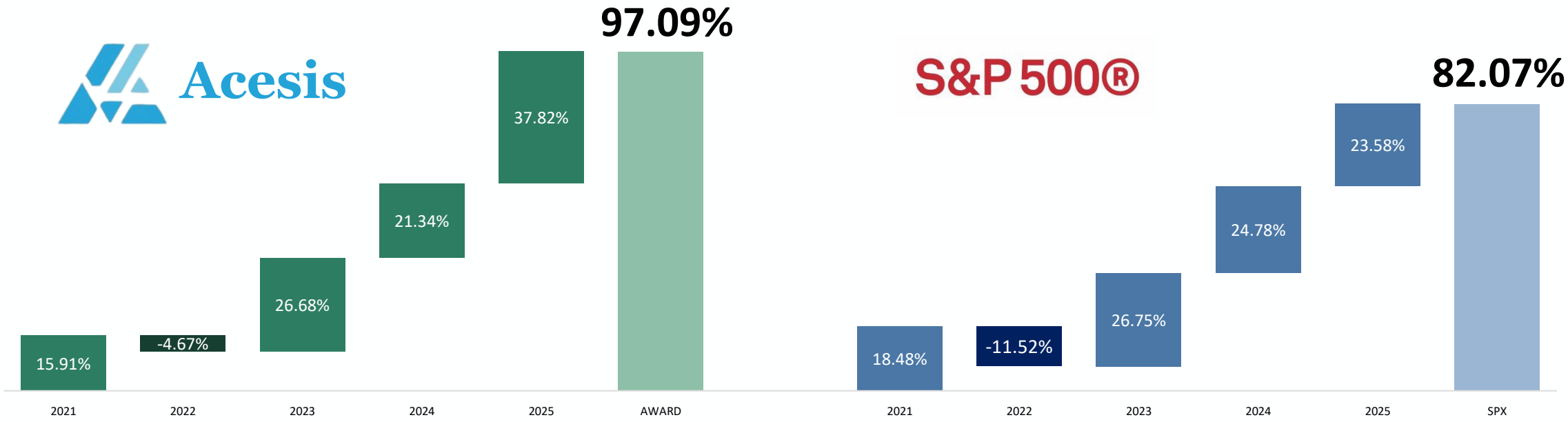
Description	Ticker	2021	2022	2023	2024	2025	Total	σ
AWARD is diversified globally yet having strong performance with lower volatility	AWARD	15.91%	-4.67%	26.68%	21.34%	37.82%	97.09%	11.42%
VT provides global exposure but has slightly higher volatility than AWARD	VT	8.09%	-10.26%	15.52%	14.31%	25.71%	53.36%	11.66%

Return to Appendix Map

Sources: Bloomberg Terminal

AWARD vs S&P 500

AWARD has stronger performance and lower volatility



Description	Ticker	2021	2022	2023	2024	2025	Total	σ
AWARD is diversified globally yet having strong performance with lower volatility	AWARD	15.91%	-4.67%	26.68%	21.34%	37.82%	97.09%	11.42%
SPX provides exposure to the 500 largest US stocks but has higher volatility	SPX	18.48%	-11.52%	26.75%	24.78%	23.58%	82.07%	13.77%

Return to Appendix Map

Sources: Bloomberg Terminal

Social Factor

Some examples of Social theme in Bloomberg

Acesis

Ethics and Compliance

- Bribery and corruption
- Business ethics
- Sanctions
- Lobbying and public policy
- Media ethics
- Data privacy and security
- Marketing practices
- Human rights
- **Labor relations**
- Weapons / controversial weapons

Occupational Health & Safety Mgt.

- Occupational health and safety

Product Quality Mgt.

- Quality and safety
- Social impact of products
- Resilience
- Intellectual property

Return to Appendix Map

Sources: Bloomberg Terminal

Metrics we used in the filtering process

Filtering criteria: liquidity, size, Social score, and financial quality

Acesis

	Metrics	Methodology	Description
	High Liquidity	Avg. Daily Trading Value > $1M	High liquidity stocks can absorb the high amount of buying and selling orders.
	Mid- to Large-Cap	Market Cap > $2,000M	Mid- to large-market-cap companies with high S-score can outperform the benchmark
	Strong Social Score	BESG Social Pillar Score > 6	The Social pillar is associated with a return premium
	Healthy Financial Performance	ROIC/WACC Ratio > 1	Companies that are productive and performing

Return to Appendix Map

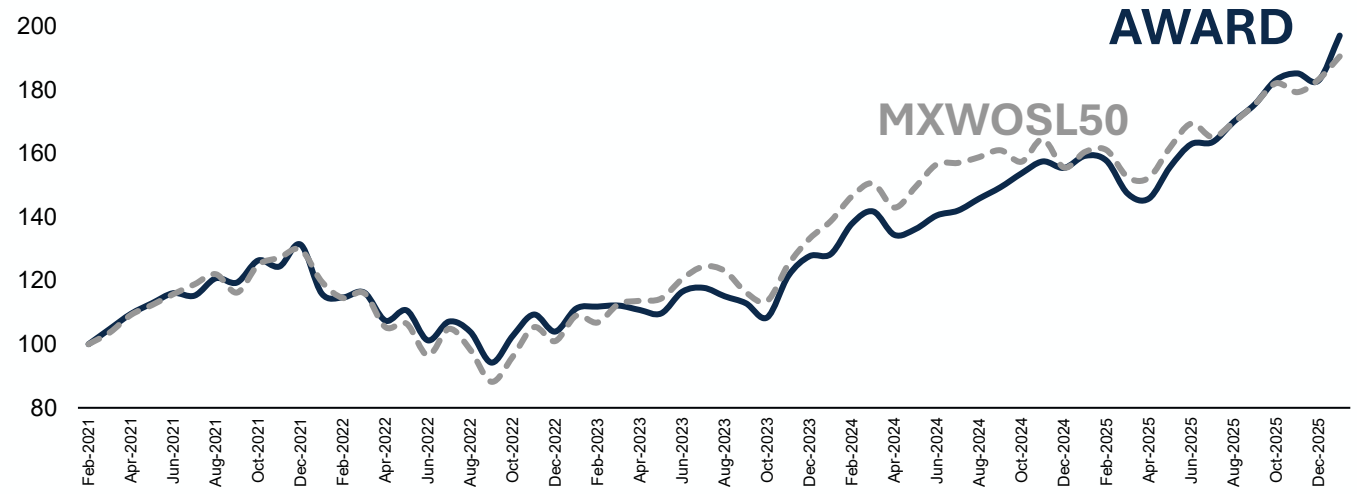
Sources: Bloomberg Terminal, Our Assumptions

Acesis Welfare And Reward Drivers (AWARD) ETF

Fund Factsheet

Acesis

Performance Record as of 15th Feb 2026 (5Y)

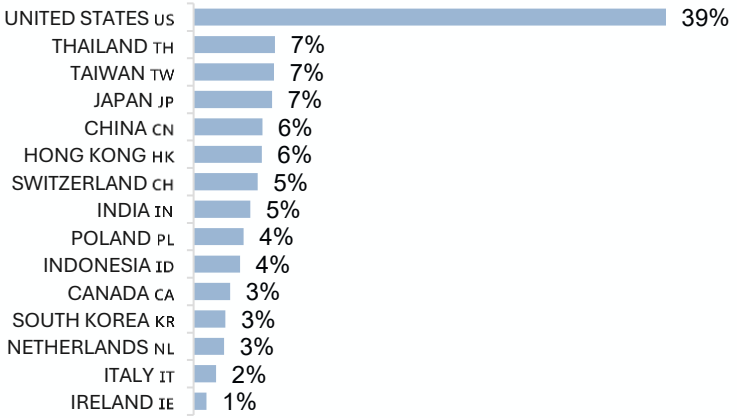


Fund Objective

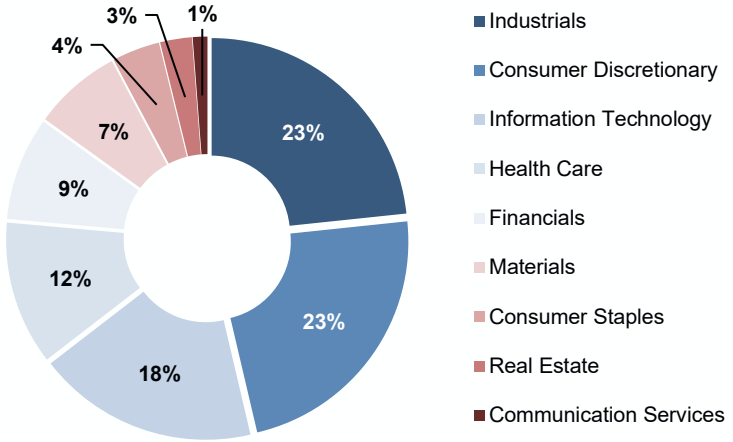
Acesis **W**elfare **A**nd **R**eward **D**rivers ("**AWARD**") ETF is an equity fund that aims to generate long-term capital appreciation by investing in structurally **labour-intensive companies** that demonstrate superior employee welfare practices, underpinned by financially material human capital factors.

Total Return (5Y)	Sharpe Ratio	Standard Deviation
97.09%	0.94	16.16%
CAGR		**Max. Drawdown**
14.53%		-28.26%

Geographic Allocation as of 15th Feb 2026



Sector Allocation as of 15th Feb 2026



Top 10 Holdings as of 15th Feb 2026

Rank	Holdings	Weights
1	STANTEC INC	3.04%
2	WYNDHAM HOTELS & RESORTS INC	2.96%
3	SONOVA HOLDING AG-REG	2.90%
4	UNILEVER INDONESIA TBK PT	2.90%
5	ECOLAB INC	2.81%
6	COWAY CO LTD	2.65%
7	INTERFACE INC	2.64%
8	CENTRAL PATTANA PUB CO LTD	2.63%
9	HOME PRODUCT CENTER PCL	2.62%
10	BELDEN INC	2.62%

Return to Appendix Map

Sources: Our Assumptions

Economic Rationale Behind Metric Selection

Linking labour intensity and employee welfare to financial materiality and long-term value creation

Filtering: Labour-Intensity Metrics (Non-Financials)

35% — **Compensation Intensity (SG&A / Revenue)**
- High SG&A-to-revenue signals heavy personnel cost structure and potential inefficiency, making firms more sensitive to wage inflation and productivity shocks.

25% — **Equity Labour Commitment (Stock-Based Compensation / Revenue)**
- Measures alignment of employees with long-term value creation while indicating dilution risk and compensation dependency.

20% — **Labour Legacy Burden (Pension Liabilities / Revenue)**
- Identifies long-term fixed obligations tied to workforce, which constrain financial flexibility and increase balance sheet risk.

10% — **Operating Labour Intensity (Operating Expense / Revenue)**
- Captures structural dependence on human capital versus operating leverage, affecting margin scalability during revenue expansion or contraction.

10% — **Labour Density (Revenue / Number of Employees)**
- Proxies employee productivity, indicating how effectively the firm converts human capital into revenue generation.

Filtering: Labour-Intensity Metrics (Financials)

35% — **Compensation Intensity ((SG&A + SBC) / Revenue)**
- Reflects total workforce compensation load relative to income, revealing structural margin pressure and cost discipline.

25% — **Human Capital Investment (Training Hours / No. of Employees)**
- Signals reinvestment into workforce capability, which supports long-term productivity and risk mitigation.

20% — **Pension Burden (Pension Liabilities / Revenue)**
- Quantifies embedded legacy compensation risk that may crowd out future growth investment.

10% — **Operating Labour Intensity (Operating Expense / Revenue)**
- Indicates cost rigidity driven by personnel-heavy operations, influencing earnings volatility across cycles.

10% — **Headcount Leverage (Revenue / No. of Employees)**
- Measures scalability of workforce output, highlighting whether incremental revenue requires proportional hiring.

Weighting: Employee Welfare Metrics (All Sectors)

25% — **Employee Compensation Ratio (Staff Cost LTM / Revenue LTM)**
- Measures how much economic value is shared with employees, balancing retention incentives against margin sustainability.

15% — **Workforce Diversity Ratio (Female Employees / Total Employees)**
- Diversity enhances decision quality, reduces governance risk, and improves long-term strategic adaptability.

15% — **Average Training Hours (Training Hours LTM / No. of Employees)**
- Represents forward-looking investment in human capital that enhances innovation capacity and operational resilience.

25% — **Flexibility Working Policy (Yes/No)**
- Flexible policies improve retention and productivity while lowering burnout and turnover risk.

15% — **Employee Turnover Ratio (Employee Turnover / No. of Employees)**
- High turnover reflects cultural or compensation issues that increase recruitment costs and erode institutional knowledge.

5% — **BESG Social Score**
- External validation of workforce-related governance and social risk management practices.

Things to Take Note:

- The objective is to identify firms with **structurally high workforce dependence** across industries; therefore, initial filtering is conducted independent of sector classification.
- Given the distinct expense composition of financial institutions, sector-adjusted metrics are applied to ensure comparability and economic relevance.

Return to Appendix Map

Sources: Bloomberg Terminal, Yahoo Finance, Journal of Corporate Finance, Our Assumptions

Detailed Active Portfolio Management Process

Operational steps behind the portfolio lifecycle

Acesis

01 Portfolio[1] Construction

- Apply filtering and scoring methodology
- Identify employee-welfare leaders globally
- Select 30–50 high-quality companies

02 Portfolio Monitoring

- Track employee welfare score changes
- Monitor earnings revisions and valuation levels
- Identify potential ESG controversies

03 Investment Review

- Evaluate whether holdings still satisfy the thesis
- Identify entry opportunities
- Identify exit risks

04 Portfolio[2] Adjustment

- Rebalance positions to manage concentration risk
- Maintain sector and country diversification
- Trim overweight holdings

05 Portfolio[2] Refresh

- Remove companies with deteriorating fundamentals
- Introduce stronger employee-welfare leaders
- Ensure portfolio quality remains high

Portfolio Review Policy:

[1] Portfolio construction occurs **once per year**
[2] Significant ESG or financial events may trigger **earlier adjustments**

Return to Appendix Map

Sources: Our Assumptions

Stantec Inc (TSX: STN)

A high-conviction S-theme equity identified through our in-house screening

Acesis

Stantec Inc (TSX: STN) – Filtering Metrics

Labour-Intensity	Percentile
Compensation Intensity	97.1%
Equity Labour Commitment	74.7%
Labour Legacy Burden	82.2%
Operating Labour Intensity	67.3%
Labour Density	7.4%

Stantec Inc (TSX: STN) – Weighting Metrics

Employee Welfare	Score
Employee Compensation Ratio	3 / 5
Workforce Diversity Ratio	3 / 5
Average Training Hours	5 / 5
Flexible Working Policy	4 / 5
Employee Turnover Ratio	5 / 5
BESG Social Score	8.39 / 10

Return to Appendix Map

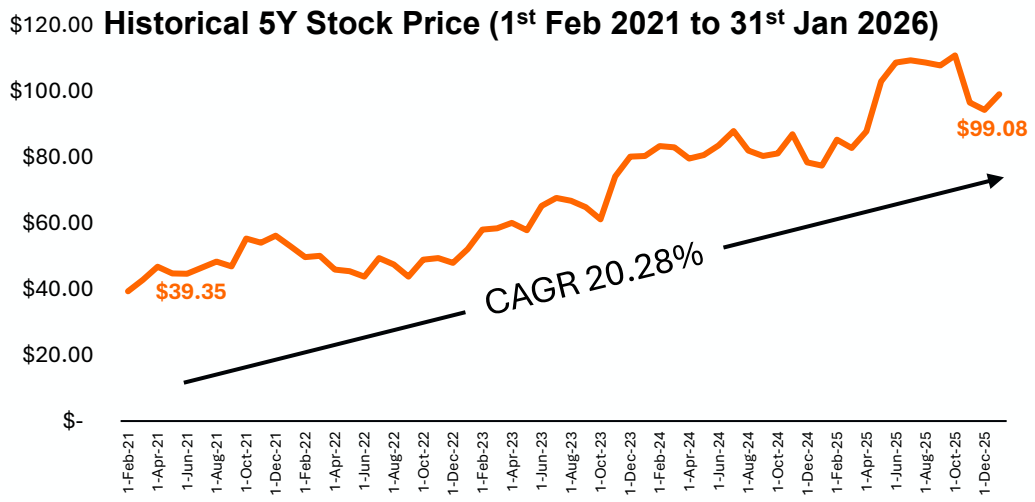
Sources: Our Assumptions

Stantec's Business Model

Stantec is a large Canadian engineering and design consulting firm

Stable Revenue Compared to Cyclical Construction Companies

- Charging fees for consulting & design services
- Long-term infrastructure & government contracts
- Recurring environmental & engineering work



Stantec's Direct Competitors

wsp	A diversified engineering consultant with strength in infrastructure and the environment
AECOM	Large global infrastructure consulting company.
Jacobs	Focus on advanced facilities, life sciences, water, and government projects.
ARCADIS	Strong in water, sustainability, and urban infrastructure.
TETRA TECH	More environmental & water focused.

Return to Appendix Map

Sources: Bloomberg Terminal, Yahoo Finance

Stantec's ESG Breakdown

Stantec ranks 'LEADING' across all ESG metrics vs peers

Acesis

ESG	Metric	Score	Peer Rank
Environmental	Climate Exposure	7.77	Leading
	GHG Emissions Management	9.34	Leading
	Biodiversity & Natural Capital	10.00	Leading
	TOTAL ENVIRONMENTAL SCORE	**8.78**	**LEADING**
Social	Ethics & Compliance	10.00	Leading
	Occupational Health & Safety Management	6.63	Leading
	Product Quality Management	7.95	Leading
	TOTAL SOCIAL SCORE	**8.39**	**LEADING**
Governance	Board Composition	7.88	Leading
	Executive Compensation	8.46	Leading
	Shareholder Rights	7.65	Leading
	Audit	8.74	Leading
	TOTAL GOVERNANCE SCORE	**8.09**	**LEADING**

Return to Appendix Map

Sources: Bloomberg Terminal

Key Assumption for DCF

Including ESG-valuation & Fundamental-valuation Assumption

Acesis

ESG-valuation

Revenue Growth	EBIT Margin	WACC
+0.5%	+0.5%	-0.2%

We assume strong welfare can motivate employees (+ revenue growth), better retention then lower training cost (+ EBIT Margin), and stronger company culture thus reduce project disruptions, lowering business risk (- WACC)

Revenue Growth

High Growth	Stable Growth
15.80%	1.25%

We assume the current revenue growth follows adjusted revenue growth 5Y CAGR, and would gradually reduce to its stable growth rate

EBIT Margin

9.48%

We assume that the EBIT margin would remain the same over the years as it shows consistency in its past performance

WACC

10.34%

We assume that the WACC would remain the same over the years as the beta has remained in a stable range 0.71 ~ 0.84, whereas the cost of debt is also stable at 4.30% ~ 5.04%

Tax Rate

22.31%

We assume a 22.31% tax rate, consistent with Canada's ~23% corporate marginal tax rate and close to the current effective rate

Reinvestment Rate

9.32%

We assume the reinvestment rate remains stable because it has been historically stable

Return to Appendix Map

Sources: Bloomberg Terminal, Our Assumptions

DCF Valuation

ESG-unadjusted Value

Acesis

Discounted Cash Flow (ESG-unadjusted)

Year	g	Revenue	EBIT Margin	EBIT	Tax Rate	EBIT(1-T)	RR	FCFF	TV	WACC	PV
0		7987.9	6.96%	556.1	22.31%	432.034	9.32%	391.769		10.34%	
1	15.80%	9249.99	9.48%	876.899	22.31%	681.263	9.32%	617.769		10.34%	559.878
2	14.34%	10576.9	9.48%	1002.69	22.31%	778.988	9.32%	706.386		10.34%	580.198
3	12.89%	11940.2	9.48%	1131.93	22.31%	879.395	9.32%	797.435		10.34%	593.603
4	11.43%	13305.4	9.48%	1261.35	22.31%	979.946	9.32%	888.615		10.34%	599.49
5	9.98%	14633.1	9.48%	1387.22	22.31%	1077.73	9.32%	977.288		10.34%	597.527
6	8.52%	15880.4	9.48%	1505.46	22.31%	1169.59	9.32%	1060.59		10.34%	587.69
7	7.07%	17002.9	9.48%	1611.87	22.31%	1252.26	9.32%	1135.55		10.34%	570.264
8	5.61%	17957.2	9.48%	1702.34	22.31%	1322.55	9.32%	1199.29		10.34%	545.833
9	4.16%	18703.8	9.48%	1773.12	22.31%	1377.54	9.32%	1249.15		10.34%	515.25
10	2.70%	19209.2	9.48%	1821.04	22.31%	1414.76	9.32%	1282.91	13422.4	10.34%	5497.22
11	1.25%	19448.8	9.48%	1843.74	22.31%	1345.93	9.32%	1220.49			

Net Present Value	10646.951
Share Outstanding	114.067
Equity Value per share	**$93.34**

Return to Appendix Map

Sources: Our Assumptions

DCF Valuation

ESG-adjusted Value

Acesis

Discounted Cash Flow (ESG-adjusted)

	Increase 0.5%		Increase 0.5%							Decrease 0.2%	
Year	**g**	**Revenue**	**EBIT Margin**	**EBIT**	**Tax Rate**	**EBIT(1-T)**	**RR**	**FCFF**	**TV**	**WACC**	**PV**
0		7987.9	6.96%	556.1	22.31%	432.034	9.32%	391.769		10.14%	
1	16.30%	9289.93	9.98%	927.135	22.31%	720.291	9.32%	653.16		10.14%	593.027
2	14.84%	10669	9.98%	1064.77	22.31%	827.216	9.32%	750.12		10.14%	618.358
3	13.39%	12097.5	9.98%	1207.33	22.31%	937.975	9.32%	850.556		10.14%	636.602
4	11.93%	13541.2	9.98%	1351.42	22.31%	1049.91	9.32%	952.062		10.14%	646.971
5	10.48%	14960.2	9.98%	1493.03	22.31%	1159.93	9.32%	1051.83		10.14%	648.962
6	9.02%	16310.1	9.98%	1627.75	22.31%	1264.6	9.32%	1146.74		10.14%	642.383
7	7.57%	17544.5	9.98%	1750.94	22.31%	1360.31	9.32%	1233.53		10.14%	627.383
8	6.11%	18617	9.98%	1857.98	22.31%	1443.46	9.32%	1308.93		10.14%	604.444
9	4.66%	19484.1	9.98%	1944.51	22.31%	1510.69	9.32%	1369.9		10.14%	574.357
10	3.20%	20108	9.98%	2006.78	22.31%	1559.07	9.32%	1413.76	17138.9	10.14%	7062.44
11	1.75%	20459.3	9.98%	2041.84	22.31%	1586.31	9.32%	1438.46			

Net Present Value	12654.929
Outstanding Share	114.067
Equity Value per share	**$110.94**

Return to Appendix Map

Sources: Our Assumptions

Methodology for Valuation

We apply different valuation methods to match different business models

Acesis

Dividend Discount Model (DDM)

Companies that
pay consistent dividend

Numbers taken from Bloomberg for DDM

- Dividend Per Share (DPS)
- Cost of Equity (K_e)
- EPS Long Term Growth Rate

We assigned different values for each different scenario, where we reduce the Cost of Equity and increase the Growth Rate for ESG-adjusted return.

EV/Revenue Multiple

Companies that
don't pay consistent dividend & have cyclical earnings

Numbers taken from Bloomberg for EV/Revenue Multiple

- EV/Sales
- Sales
- Net Debt
- Number of Outstanding Shares

We assigned different values for each different scenario, where we increased a certain % of EV/Sales for ESG-adjusted value for different scenario.

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Sources: Bloomberg Terminal, Our Assumptions

Scenario Definition

We apply scenario-specific adjustments by valuation method

Acesis

Dividend Discount Model	Case Scenario	EV/Revenue Multiple
+0.00% K_e +0.00% g	**Base** Normal growth, stable labour market, Social premium persists at historical average	EV/Sales +0.00%
-0.05% K_e +0.15% g	**Bull** Soft landing / strong growth; welfare premium widens as talent competition intensifies	EV/Sales +15.00%
+0.05% K_e -0.15% g	**Bear** Recession or shock; welfare premium compresses, but downside protection channel matters	EV/Sales -10.00%

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Sources: Our Assumptions

ESG-Adjusted Valuation

We assigned ESG-adjusted valuation based on our composite scorecard

Acesis

ESG-Adjusted Valuation for DDM

Metrics	Weightage	Base Case			Best Case			Worst Case		
		Score	ΔKe	Δg	Score	ΔKe	Δg	Score	ΔKe	Δg
Employee Turnover Ratio	15.0%	13.5	-0.15%	0.60%	10.0	-0.19%	0.75%	20.0	-0.08%	0.31%
Average Training Hours	15.0%	17.2	-0.05%	0.50%	20.0	-0.06%	0.58%	10.0	-0.03%	0.29%
Employee Compen. Ratio	25.0%	23.9	-0.35%	0.70%	30.0	-0.44%	0.88%	20.0	-0.29%	0.59%
Workforce Diversity Ratio	15.0%	30.9	-0.10%	0.30%	40.0	-0.13%	0.39%	20.0	-0.06%	0.19%
Flexible Working Policy	25.0%	0.6	-0.20%	0.40%	0.8	-0.28%	0.55%	0.4	-0.14%	0.28%
S_Score	5.0%	7.4	-0.30%	0.30%	8.0	-0.32%	0.32%	6.0	-0.24%	0.24%
			-0.20%	0.50%		-0.25%	0.63%		-0.15%	0.35%

ESG-Adjusted Valuation for EV/Revenue Multiple

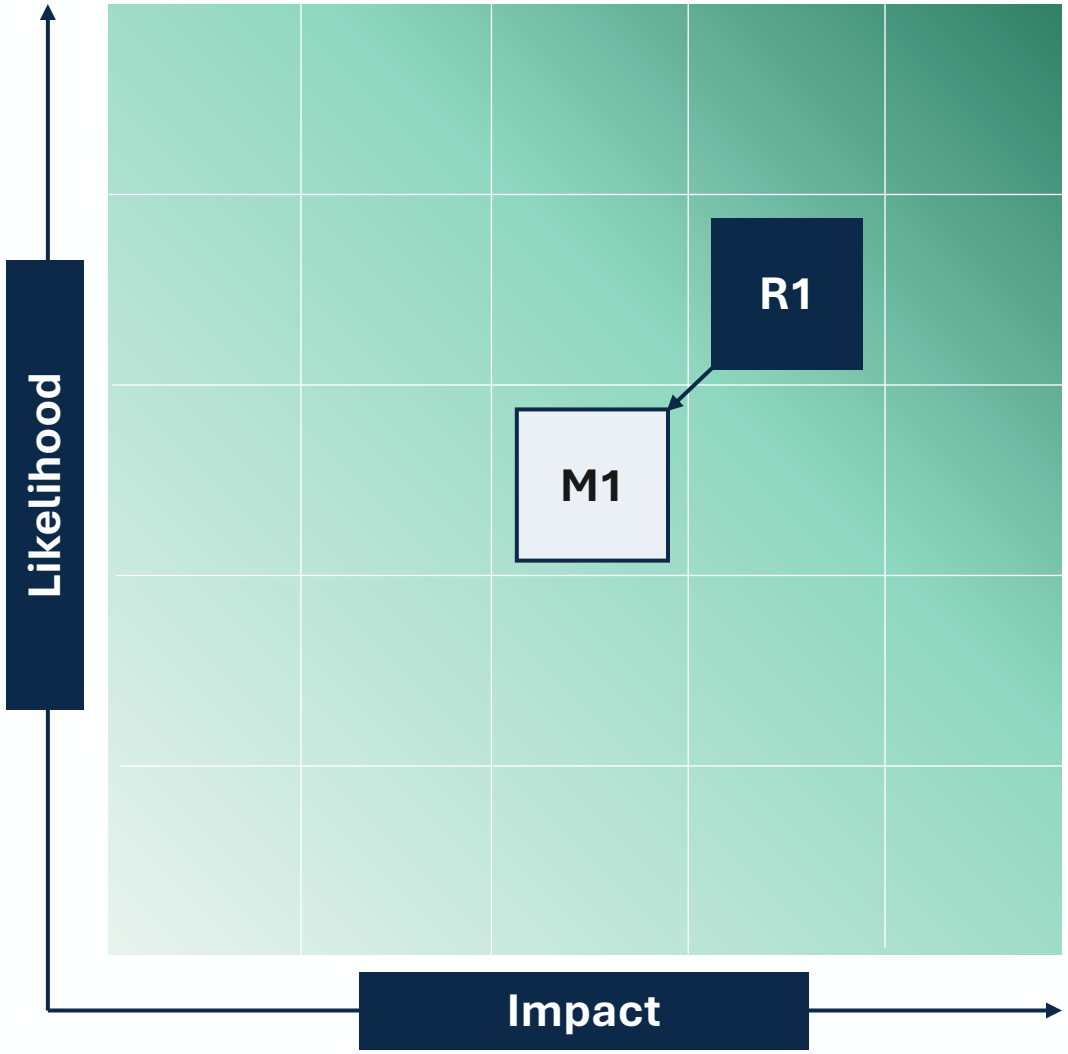
Metrics	Weightage	ESG-adjusted Value		Best Case		Worst Case	
		Score	ΔEV/Sales	Score	ΔEV/Sales	Score	ΔEV/Sales
Employee Turnover Ratio	15.0%	13.5	1.00%	10.0	1.26%	20.0	0.52%
Average Training Hours	15.0%	17.2	2.00%	20.0	2.33%	15.0	1.75%
Employee Compen. Ratio	25.0%	23.9	3.00%	30.0	3.77%	20.0	2.51%
Workforce Diversity Ratio	15.0%	30.9	1.00%	40.0	1.29%	20.0	0.65%
Flexible Working Policy	25.0%	0.6	3.00%	0.8	4.14%	0.6	3.10%
S_Score	5.0%	7.4	1.00%	8.0	1.08%	7.0	0.94%
			2.15%		2.76%		1.89%

Return to Appendix Map

Sources: Our Assumptions

Risk 1 Mitigation

AI may shift short-term pricing, so we prioritise durable human-capital ROI



Risk 1

AI-driven restructuring may temporarily weaken welfare signals.

Ways to mitigate

Mitigation 1

Prioritise firms that combines AI efficiency with training but not replacing

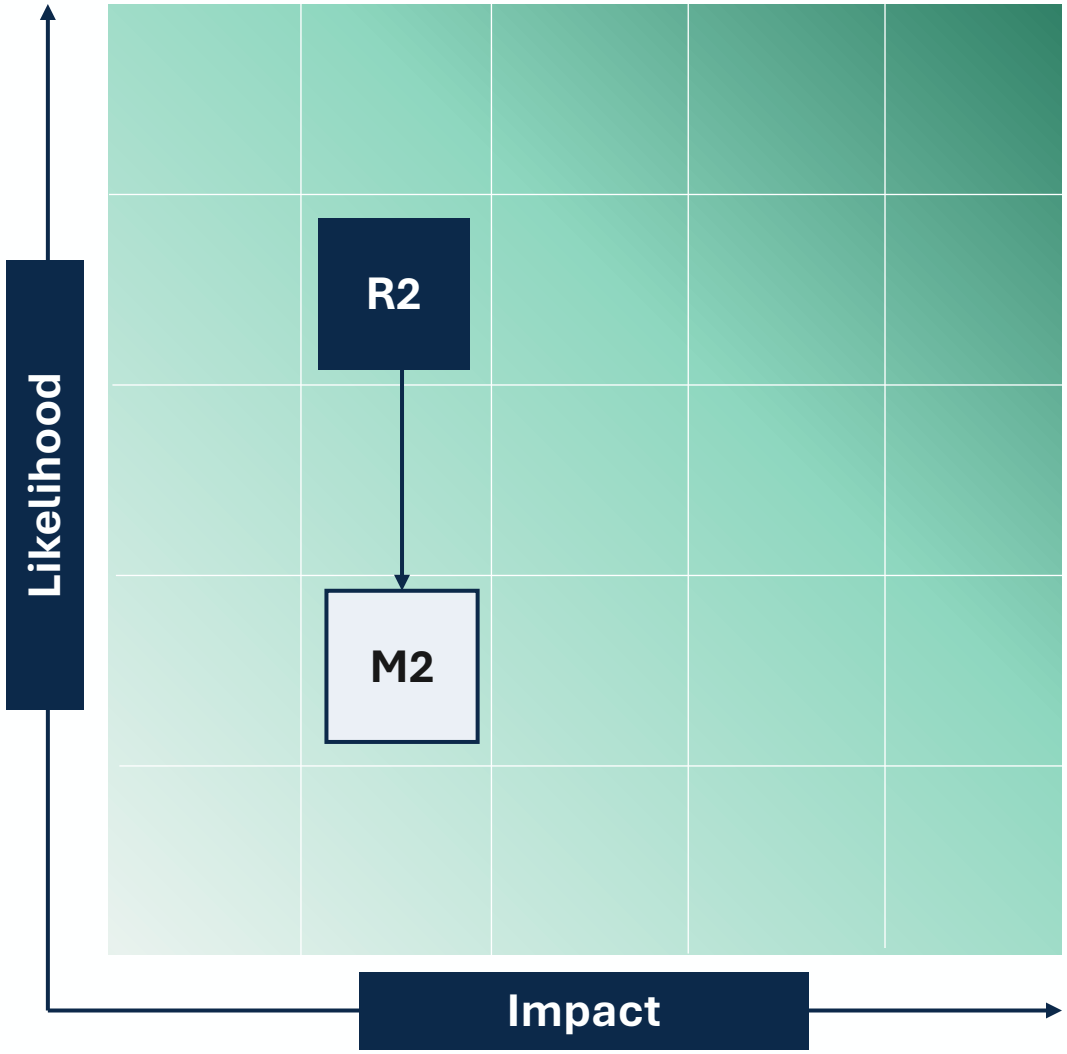
- Prefer firms that combine AI efficiency with training/reskilling, safety, and stable execution.
- Exclude firms with sharp, persistent drops in employee sentiment or repeated mass restructuring events.
- Reward improving welfare (not just high level), which helps avoid legacy high-score firms that deteriorate during AI transitions.
- If welfare signal collapses post-restructuring, cap weight until signal stabilizes.

Return to Appendix Map

Sources: Bloomberg Terminal

Risk 2 Mitigation

Composite welfare signals improve reliability and reduce single-source bias



Risk 2

Signal noise & data bias (Subjectivity in employee ratings)

Ways to mitigate

Mitigation 2

Multiple welfare proxies reduce single-source bias.

- Require sufficient review volume / stability
- Use trailing averages (e.g., 6–12 months) to avoid reacting to one-off events.
- Cross-check with hard indicators, e.g., turnover proxy, safety incidents, labour disputes, employee cost trends (even if imperfect).

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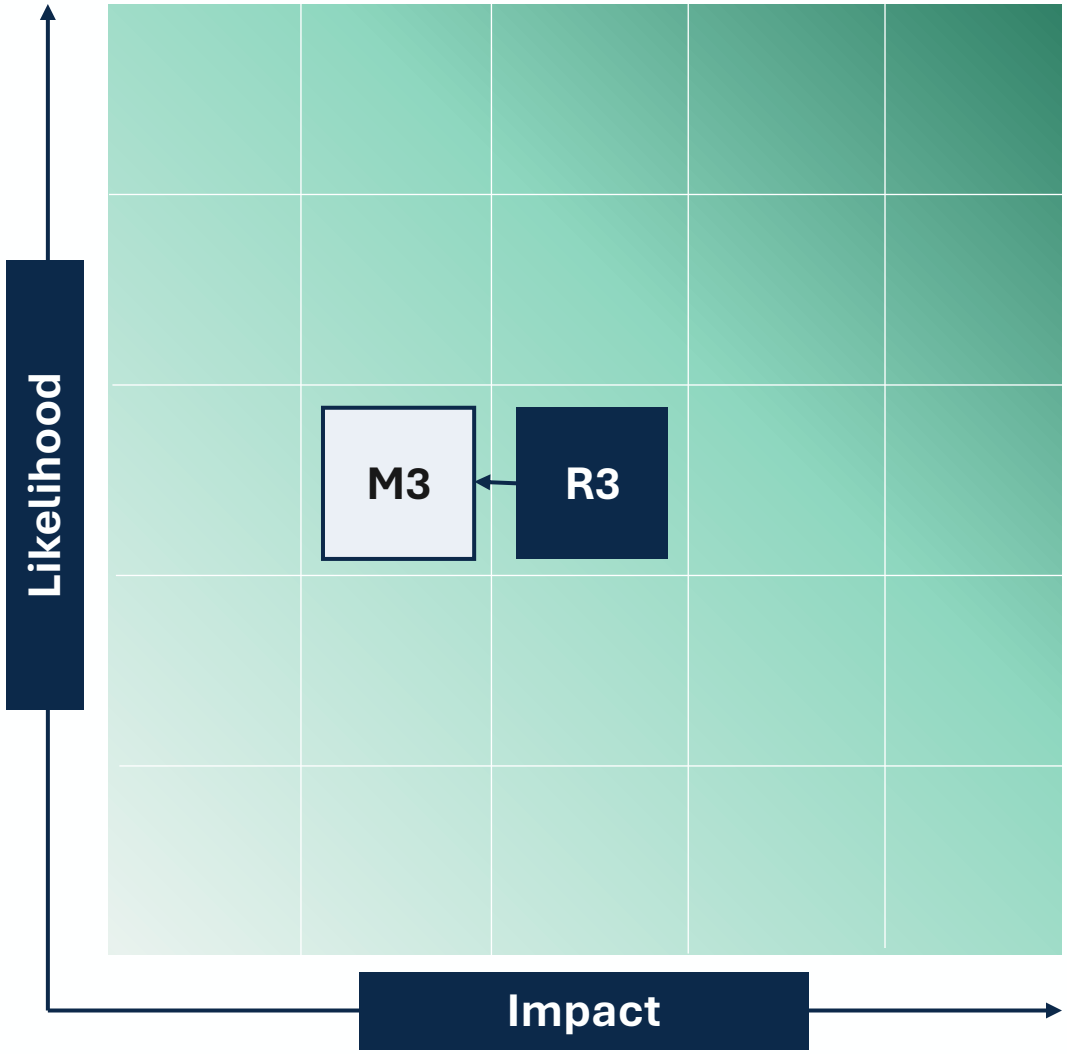
Sources: Bloomberg Terminal

Risk 3 Mitigation

Diversification prevents unintended sector, country, and style-factor concentration



Risk 3

Overconcentration in labour-intensive sector

Ways to mitigate

Mitigation 3

Capping and diversification in labour-intensive industries

- Hard sector & country caps
- Limit unintended factor tilts (beta, size, growth/value).
- Diversified across multiple labour-intensive industries (services, healthcare services, industrial services, logistics, etc.) rather than clustering.
- Liquidity + max position limits to prevent “forced concentration.”

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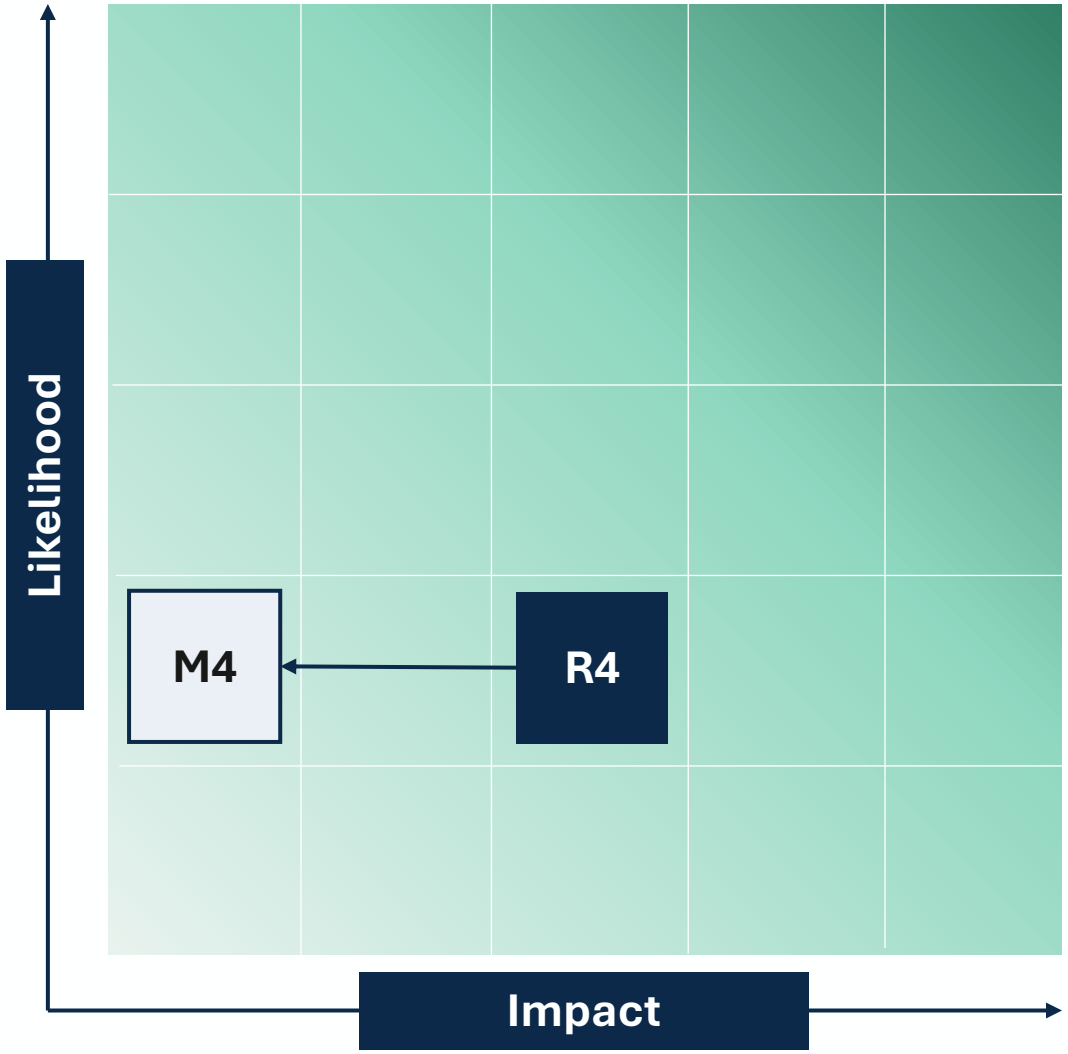
Sources: Bloomberg Terminal

Risk 4 Mitigation

We reduce crowding risk by emphasising welfare ‘improvers’, not just ‘leaders’



Risk 4

Crowding / premium compression (too many investors chase S)

Ways to mitigate

Mitigation 4

Signal Focus on “improvers”, not just “leaders”

- Crowding tends to hit the obvious winners; improvement signals stay less crowded.
- Even if alpha compresses, we still aim to win on lower crash risk / downside protection (risk-adjusted return objective).
- Avoid illiquid names, keep turnover controlled; crowding hurts most in small/illiquid stocks.
- Rebalance bands to avoid chasing crowded moves.

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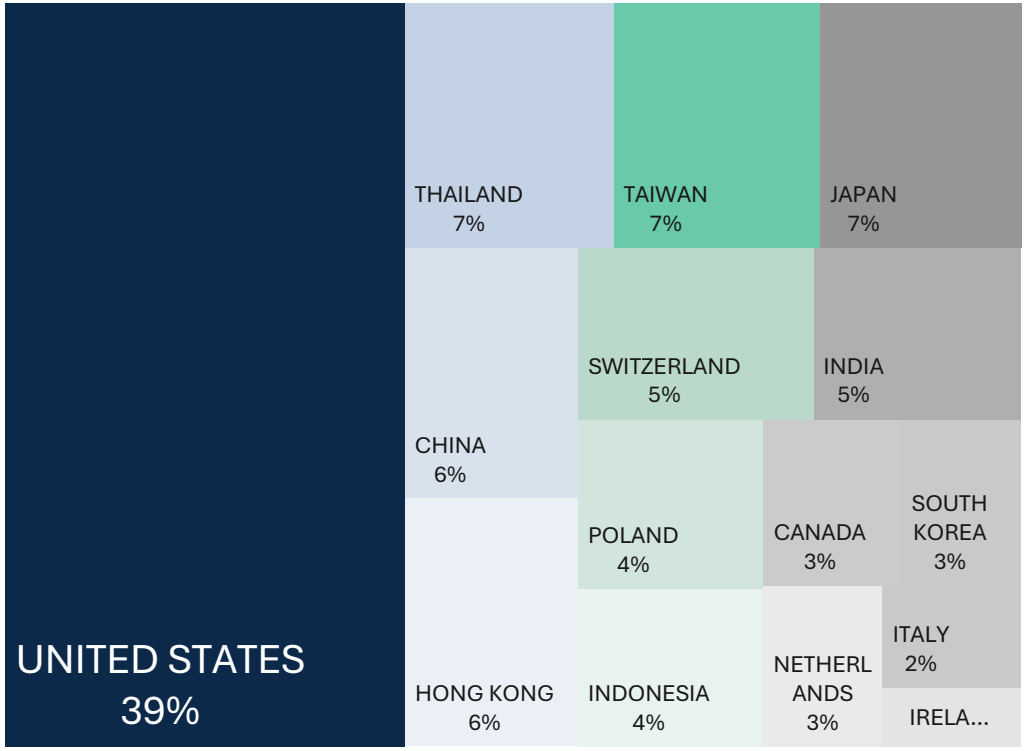
Sources: Bloomberg Terminal

AWARD

Globally Diversified, Social-Pillar-Focused, Strong Performance

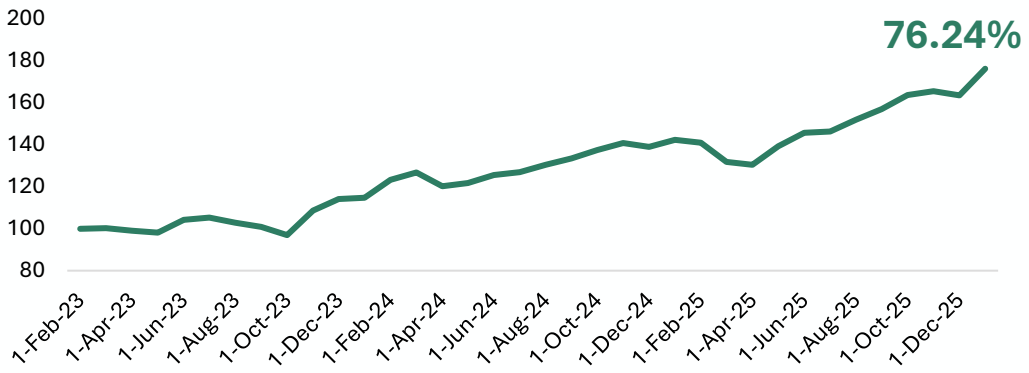
AWARD Geographic Allocation



15 countries in total

Social-pillar-focused, specifically on employee welfare, with a tilt to labour-intensive industries

AWARD 3Y Performance



Ticker	AWARD
Name	Acesis Welfare And Reward Drivers ETF
Objective	Generate long-term capital appreciation by investing in structurally **labour-intensive companies** that demonstrate superior employee welfare practices
3Y Return	76.24%

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Sources: Bloomberg Terminal

HAPI

Concentrated in the US, Social-Pillar-Focused, Strong Performance

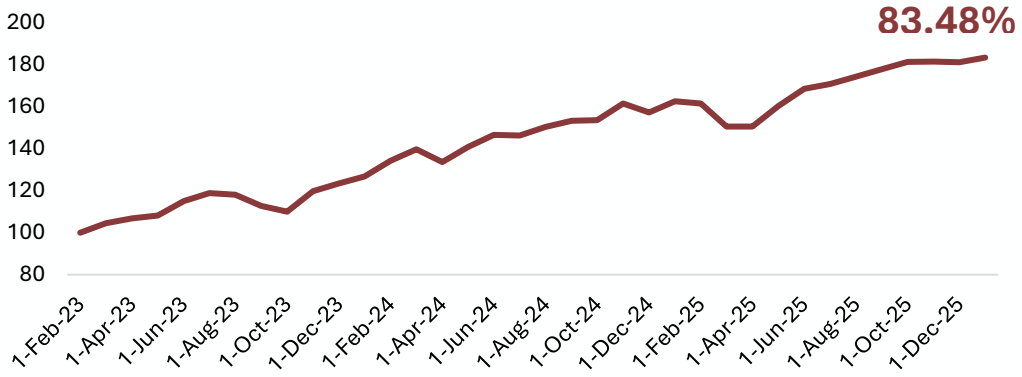
Acesis

HAPI Geographic Allocation

7 countries in total

Social-pillar-focused only, particularly in "Human Capital"

HAPI 3Y Performance



Ticker	HAPI (NYSE Arca)
Name	Harbor Human Capital Factor US Large Cap ETF
AUM	$448.1M
Expense Ratio	0.35%
Objective	Long-term capital appreciation by investing in U.S. large-cap companies with strong corporate cultures
3Y Return	83.48%

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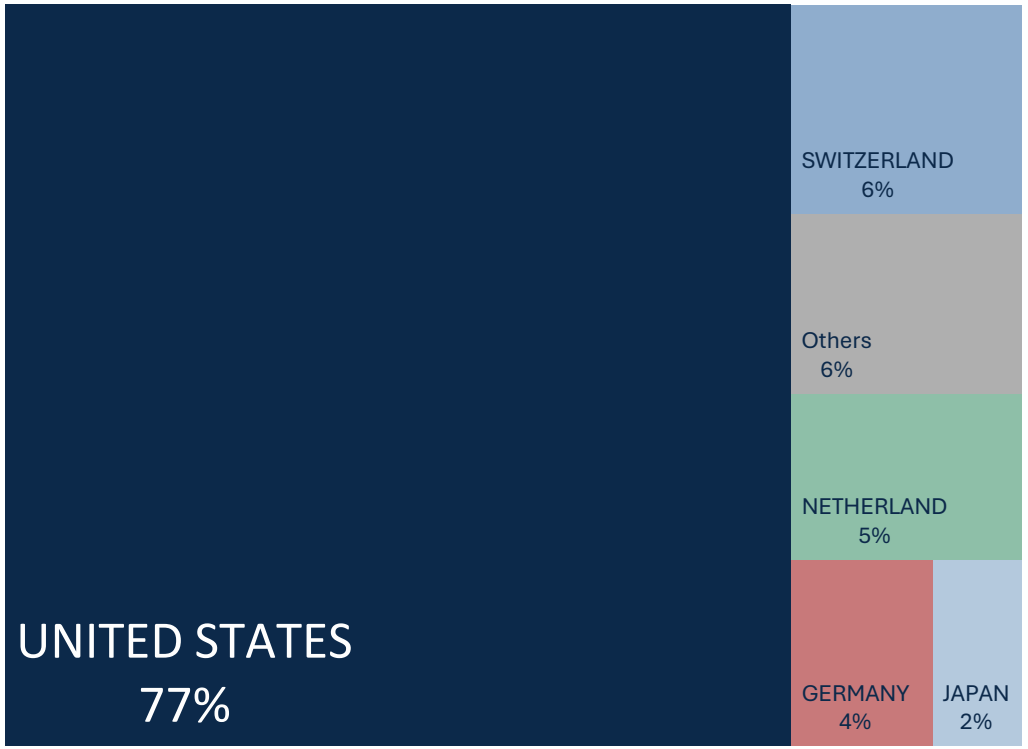
Sources: Bloomberg Terminal

MXWOSL50

Benchmark for AWARD

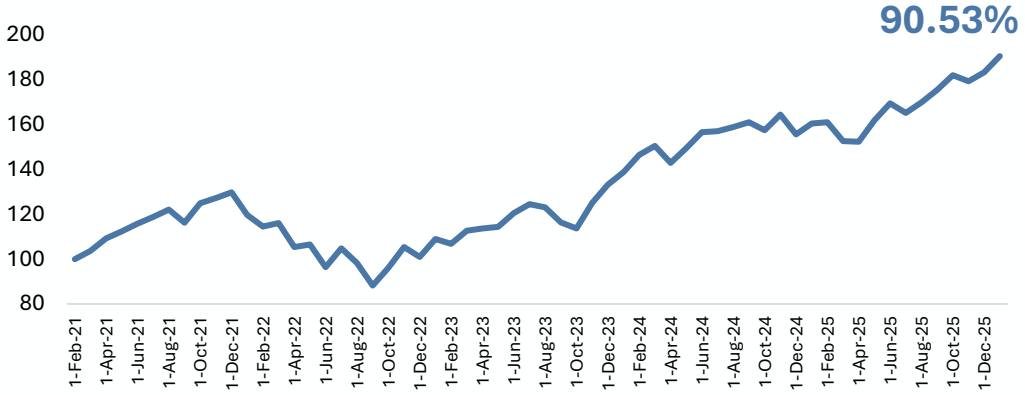
Acesis

MXWOSL50 Geographic Allocation



Social-pillar-focused only, select top 50 leading stocks in Social

MXWOSL50 5Y Performance



Ticker	MXWOSL50
Name	MSCI World Social Leaders Select Top 50 Index
Objective	Represents the performance of a set of 50 companies from the MSCI World Index with the highest free float-adjusted market capitalisation that also have a robust Social Pillar Score
5Y Return	90.53%

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Sources: Bloomberg Terminal

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